ISSN 2983-2373

Korea Economic Outlook

2025. 8

BANK OF KOREA

BANK OF KOREA

Korea Economic Outlook

2025. 8

This report is the English version of the “Korea Economic Outlook” published on September 5, 2025.

Please contact the Research Department at the email address below if you have any questions regarding the contents or would like to request permission in advance for reproducing or copying the contents of this report for commercial purposes.

Please credit the source when quoting, reproducing, or copying the contents of this report for non-commercial purposes.

Research Department, Business Cycle Team, Bank of Korea
econtrend@bok.or.kr

Contents

Executive Summary

Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions **1**

Global Economy 1

Korea's Economy 14

Main Premises of the Baseline Outlook 20

2. Macroeconomic Outlook for Korea **21**

Economic Growth 21

Current Account 29

Prices 31

Employment 33

3. Risk Assessment **39**

Key Risks to the Outlook 39

Distribution of Growth Projections by Market Participants 39

Scenario Analysis 40

<FYI>

Why does the Impact of Tariffs on U.S. Prices Emerge Slowly? 4

Status and Prospects of The Taiwanese Economy Following U.S. Tariff Impositions 9

Current Domestic Labor Market Status: Spider Chart Analysis 36

Box Quarterly Forecasts for the One-Year-Ahead Horizon 42

Executive Summary

- **GDP growth in 2025 is projected at 0.9%, slightly above the May forecast of 0.8%. The upward revision reflects clear signs of improvements in consumption and solid export performance, despite weaker-than-expected construction investment.**
- **CPI inflation is expected to stand at 2.0% in 2025, up from 1.9% in the May forecast, as adverse weather conditions drive up prices of agricultural and marine products, more than offsetting the decline in global oil prices.**

(%, %p)	2024	2025e)1)	2026e)1)
GDP growth rate	2.0	0.9 (+0.1)	1.6 (-)
Headline inflation (%)	2.3	2.0 (+0.1)	1.9 (+0.1)
(Core inflation)	2.2	1.9 (-)	1.9 (+0.1)

Note: 1) ( ) indicates change from the May 2025 projection.

ECONOMIC CONDITIONS

☐ **Global economic growth is projected to slow gradually as the effects of tariffs materialize, even though uncertainty has eased somewhat following tariff agreements between the United States and major economies.**

- The **United States** is expected to experience rising inflation, while economic growth is projected to slow moderately, as the impact of tariffs gradually intensifies. The **euro area** is forecast to show a moderate growth rate due to the impact of U.S. tariff policy, despite the support by monetary policy easing to date. Growth in **China** is projected to exceed the previous expectations, supported by favorable exports following the suspension of the heightened tariffs.
- **Global trade** is expected to see a slowdown in growth as the effects of front-loading gradually fade. The **global semiconductor industry** continues to expand on the back of robust investment in AI, although potential U.S. tariffs on semiconductors and concerns over excessive investment in AI remain risk factors.
- **Global oil prices** (Brent crude) are expected to decline to the low-to mid USD 60s as the recovery of OPEC+ crude production accelerates.

☐ **In terms of domestic economic conditions, despite weakness in the construction sector, supportive factors – such as the second supplementary budget and a rapid improvement in economic sentiment* – somewhat prevail over headwinds.**

* Composite Consumer Sentiment Index:
Jan.-Nov. 2024 101.0 → Dec. 88.2 → Jan.-Apr. 2025 93.4 → May 101.8 → Jun. 108.7 → **Aug. 111.4**

- **Nominal wage** growth is expected to remain subdued, following a weaker corporate performance in the second quarter (Q1 4.5%→Apr.-May 2.6%).
- **Corporate bond rates** fluctuated within a narrow range, influenced by supply-demand conditions in government bonds and movements in U.S. Treasury yields. The **Won to U.S. dollar exchange rate** has exhibited volatility in line with U.S. economic indicators and shifting expectations for Federal Reserve rate cuts, while uncertainty in the trade environment has acted as an upward factor, keeping the exchange rate in the upper-1,300 won range. **Housing prices** continued to decline in non-metropolitan areas, while gains in the Seoul metropolitan area had accelerated before moderating somewhat following the government stabilization measures announced on June 27.

Assumptions on the U.S. tariff policy

☐ **U.S. tariff policy** is assumed to **maintain the current reciprocal and item-specific tariffs***.

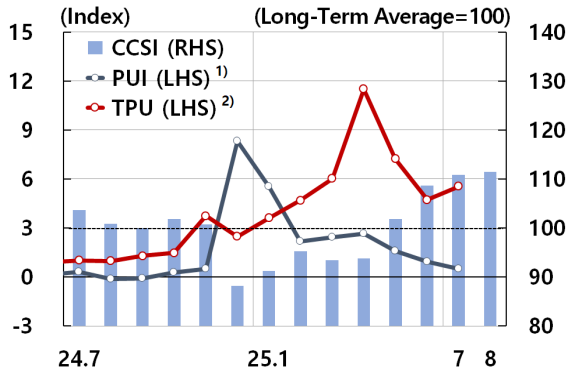
* In case of Korea, compared with May, reciprocal tariffs were increased (from 10% to 15%), tariffs on steel and aluminum were raised (from 25% to 50%) with an expanded list of items, while tariffs on automobiles were lowered (from 25% to 15%).

▪ Tariffs on **semiconductors and pharmaceuticals** are assumed at 15%, higher than in the May baseline of 10%, although their imposition is postponed from Q3 2025 to sometime in 2026.

➞ **The average tariff rate** is assumed to **remain broadly in line with the May baseline scenario**.

Projection date	Key assumptions of the baseline scenario
► **May**	• The current reciprocal tariffs (10%) and item-specific tariffs (25%) are largely maintained. • Additional item-specific tariffs of 10%, including on semiconductors and pharmaceuticals, are imposed in Q3.
► **August**	• The reciprocal and item-specific tariffs* announced on July 31 are largely maintained. * Korea (tariff rate): reciprocal (15%), steel, aluminum, and copper (50%), automobiles and parts (15%) • In 2026, additional item-specific tariffs of 15% are imposed – on semiconductors in Q1 and on pharmaceuticals in Q3.

Trade Policy Uncertainty Index(TPU), Korea's Political Uncertainty Index(PUI), and Composite Consumer Sentiment Index(CCSI)



Notes: 1) Data cited from Baker et al. (2016), based on monthly average standard deviations.
2) Long-term average is set to 1 for reference.
Sources: Bank of Korea, Research Department, Caldara et al. (2020).

U.S. tariff rates by country and item[1)]

	Country	Reciprocal	Steel, Aluminum, Copper	Automobiles, Parts	Semiconductors, Pharmaceuticals
Agreement	Korea	15%	50%	15%[4)]	Most-Favored-Nation Treatment
	Japan	15%			
	EU	15%			15%
	Vietnam	20%		25%	..
No Agreement	China[2)]	30%			
	Canada[2)3)]	35%			
	Mexico[2)3)]	25%			
	Brazil[2)]	50%			

Notes: 1) As of August 28. 2) Incl. fentanyl tariff, etc.
3) USMCA items are exempted.
4) Assumed to be implemented from Sep. 2025.

Source: Research Department.

Assumptions for the global economy[1)]

(%)	2024	2025			2026[e)]		
		H1[2)]	H2[e)]	Year[e)]	H1	H2	Year
Global economic growth[2)]	3.3	3.2	2.5	2.8 [2.7]	2.6	2.9	2.7 [2.7]
• United States	2.8	2.0	1.3	1.7 [1.6]	1.6	2.1	1.9 [1.9]
• Euro area	0.9	1.3	1.0	1.1 [0.9]	0.9	1.4	1.1 [1.2]
• China	5.0	5.3	4.2	4.7 [4.2]	4.0	4.1	4.1 [4.0]
Global trade growth[2)]	3.8	3.7	1.5	2.6 [2.4]	1.6	3.2	2.4 [2.5]
Brent oil prices[3)]	80	71	65	68 [69]	62	63	63 [65]

Notes: 1) Figures in [ ] are May projections. 2) Global economic growth and global trade growth are forecasts.
3) Year-on-year. 4) USD/barrel, by period average.
Sources: Statistics Offices of each region, Bloomberg, Research Department.

Economic Outlook

☐ **GDP growth in 2025 is projected to 0.9%, revised up slightly from 0.8% in the May forecast, as consumption strengthens on the back of the supplementary budget and stronger economic sentiment, and exports, led by semiconductors, remain solid, while construction investment continues to be weaker than expected.**

- GDP rose 0.6% in the **second quarter** of 2025, rebounding from a 0.2% contraction in the first quarter, supported by an improvement in consumption and solid export performance, despite a larger-than-expected decline in construction investment.

- Korea's economy is forecast to grow by 1.1% in the **third quarter**, faster than the previous projection of 0.7%, driven by the distribution of consumption coupons* and robust semiconductors exports. **Fourth-quarter** growth is projected to slow to 0.2% as downward pressure on exports gains momentum toward year-end, particularly in tariff-affected products such as steel and automobiles.

  * As of August 20, 97.6% of the population had applied for the consumption coupons, and by August 7, about 50% had been spent via credit and debit cards.

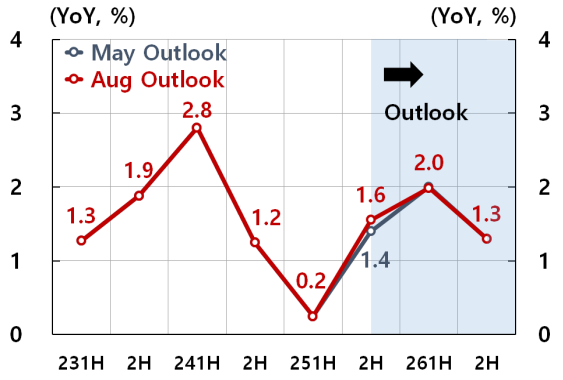
- In **2026**, GDP growth is expected to be 1.6%, in line with the previous forecast, as the recovery in domestic demand is expected to continue but exports are anticipated to weaken due to the impact of U.S. tariffs.

Korea's growth outlook by expenditure[1)]

(%)	2024	2025[e)]	2026[e)]
GDP	2.0	0.9	1.6
		[0.8]	[1.6]
• Private consumption	1.1	1.4	1.6
		[1.1]	[1.6]
• Goods exports	6.4	2.5	-0.1
		[-0.1]	[0.7]
• Facilities investment	1.7	2.5	1.0
		[1.8]	[1.0]
• Construction investment	-3.3	-8.3	3.8
		[-6.1]	[2.8]

Note: 1) [ ] indicates forecasts as of May 2025.
Source: Research Department.

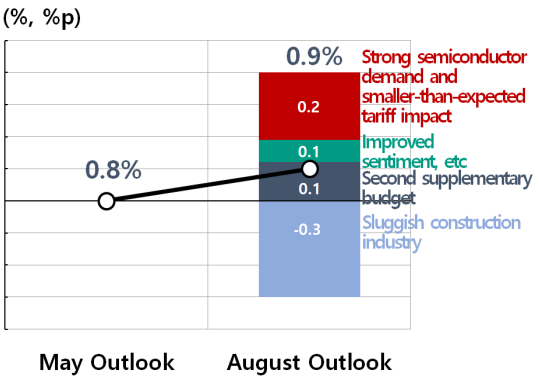
Outlook for GDP growth[1)]



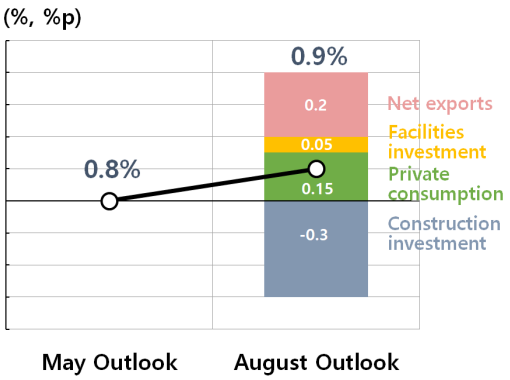
Note: 1) Shaded area indicates projections.
Source: Research Department.

☐ **The upward revision of this year's GDP growth rate is attributed to the second supplementary budget (approx. +0.1 percentage points), solid demand for semiconductors and a smaller-than-anticipated impact from tariffs (+0.2 percentage points), and a rapid improvement in economic sentiment (+0.1 percentage points), despite the deepening slump in the construction industry (-0.3 percentage points).**

Adjustment of GDP growth projection for 2025 (by main driver)



Adjustment of GDP growth projection for 2025 (by expenditure)



☐ **The projection for CPI inflation is expected at 2.0%, up from 1.9% in the May outlook, as extreme weather drove up prices of agricultural and marine products, outweighing the decline in global oil prices. Core inflation is projected at 1.9% this year, in line with the previous forecast. Next year, both headline and core CPI are expected to rise to 1.9%.**

▪ During the second half of 2025, consumer prices are projected to move into the upper-1% range.

* CPI inflation eased to 2.1% in July from 2.2% in June, as prices of petroleum products fell from 0.3% to -1.0%, offsetting increases in agricultural and marine product prices.

☐ **The current account surplus is forecast at $110 billion in 2025 and $85 billion in 2026, well above the May projection path.**

- The **goods trade surplus** is expected to exceed last year's level on stronger-than-expected semiconductor exports, with the impact of U.S. tariffs materializing only gradually.

- The **primary income account** is also projected to record a sizable surplus, driven mainly by investment income, reflecting the accumulation of net foreign assets and favorable conditions in global asset markets.

☐ **Employment is forecast to increase by 170,000 in 2025 and 130,000 in 2026, above the May projection of 120,000 and 100,000, respectively.**

- Although sluggish construction investment and weakening profitability from U.S. tariff policy are expected to sustain the downward trend in construction and manufacturing employment, government employment policies and stronger consumption are likely to support job growth in the services sector, keeping it well above the previous forecast.

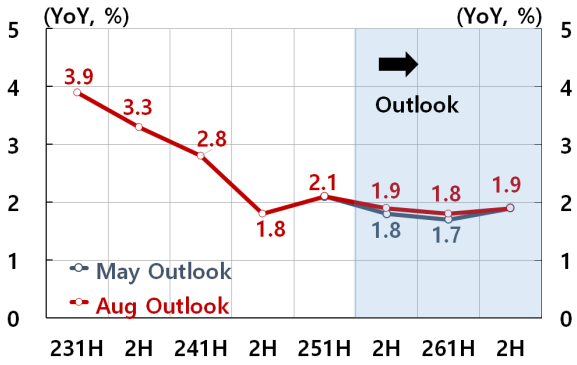
- Employment gains are expected to be driven by the elderly, while subdued youth employment is likely to be alleviated by the recovery in domestic demand.

Outlook for inflation, current account, and employment[1)]

	2024	2025e)	2026e)
Headline inflation (%)	2.3	2.0 [1.9]	1.9 [1.8]
• Core inflation (%)	2.2	1.9 [1.9]	1.9 [1.8]
Current account (USD 100 million)	990	1,100 [820]	850 [720]
Change in number of employed persons (10,000 persons)	16	17 [12]	13 [10]

Note: 1) [ ] indicates forecasts as of May 2025.
Sources: Research Department, Bank of Korea, Statistics Korea.

Outlook for headline CPI



Sources: Statistics Korea, Research Department.

Key Risks to the Outlook

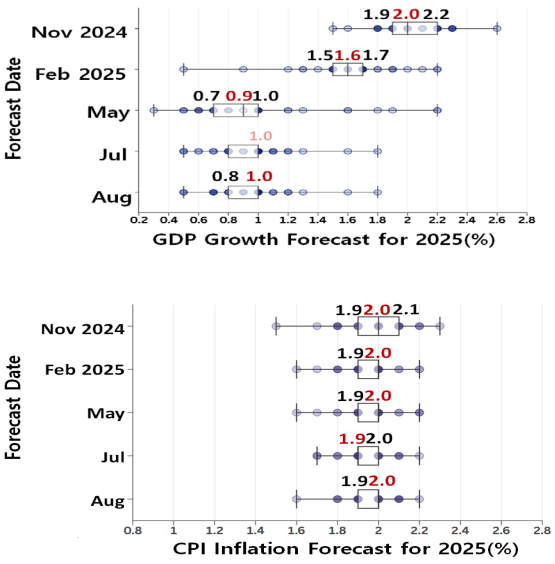
☐ **Uncertainty in the global trade environment, including U.S.-China tariff negotiations, remains a risk to the growth projection path, while climate conditions and movements in global oil prices pose risks to the inflation outlook.**

	Upside risks	Downside risks
GDP growth	▪ Further easing of global trade uncertainty	▪ Reignition and escalation of trade conflicts, including a potential breakdown in U.S.-China negotiations
	▪ Improvement in consumer and business sentiment	▪ Prolonged structural and cyclical weakness in the construction sector
	▪ Robust performance in the AI-related semiconductor industry	▪ Heightened uncertainty in international financial markets
CPI inflation	▪ Extreme climate conditions	▪ Expansion of global oil supply
	▪ Stronger recovery in consumption	▪ Stronger government measures to stabilize prices

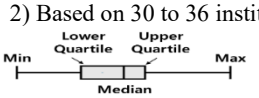
☐ **Major forecasting institutions revised up their growth projections for 2025 from May, while leaving inflation forecasts unchanged.**

- Median and bottom quartile of GDP growth forecasts by market participants are 1.0% and 0.8%, respectively, compared with 0.9% and 0.7% in May. The median CPI inflation forecast is 2.0%, unchanged from May.

Distribution of GDP growth[1] and CPI inflation[2] forecasts for 2025

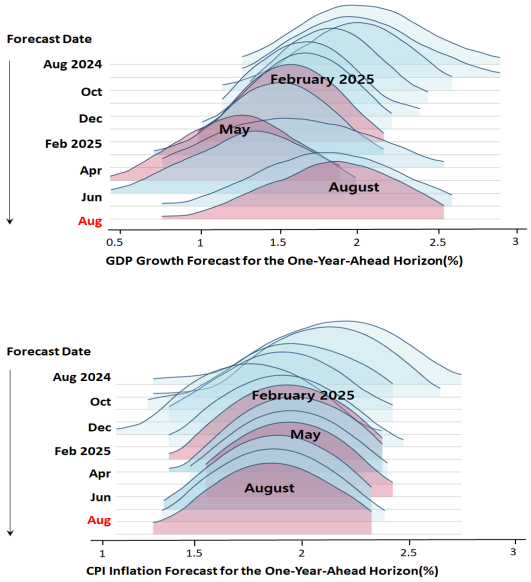


Note: 1) Based on 40 to 42 institutions.
2) Based on 30 to 36 institutions.



Source: Bloomberg (Data retrieved on August 7).

Distribution of GDP growth[1] and CPI inflation[2] forecasts for the one-year-ahead horizon[3]



Note: 1) Based on 18 to 24 institutions.
2) Based on 16 to 21 institutions.
3) The average year-on-year growth rate forecasts over the current and subsequent three quarters.

Source: Bloomberg (Data retrieved on August 7).

☐ **Although uncertainty in the global trade environment has eased to some extent following the recent tariff agreements between the United States and multiple countries, ongoing negotiations between the United States and China remain the most significant risk factor for the growth outlook. Accordingly, two alternative scenarios are analyzed.**

* Since the tariff path by scenario diverges from the baseline projection starting in the fourth quarter of 2025, the tariff impact for this year is expected to be limited.

- **Optimistic scenario (further easing of trade conflicts):** If the ongoing U.S. tariff negotiations with China, Canada, and Mexico are settled smoothly, with tariffs being lowered and the fentanyl tariff abolished, **GDP growth** for **next year** is expected to rise by **0.1 percentage points** compared to the baseline projection. **CPI inflation** is projected to be **limited**.

- **Pessimistic scenario (resurgence of trade conflicts):** If trade conflicts reignite and negotiations between the United States and China, Canada, and Mexico collapse, leading these countries to impose retaliatory tariffs, GDP growth for **next year** is estimated to decline by **0.2 percentage points** compared to the baseline projection. **CPI inflation** is projected to fall by **0.1 percentage points**.

U.S. Tariff Policy Scenarios[1)]

	Major contents
Baseline Scenario	‣ Current reciprocal tariffs and item-specific tariffs remain unchanged (with 15% tariffs on semiconductors and pharmaceuticals to be imposed from next year). ‣ **U.S. average tariff rate: 18% (end of 2026)** **U.S. average tariff rate against China: 45% (end of 2026)** **U.S. average tariff rate against Korea: 16% (end of 2026)**
Optimistic Scenario	‣ Tariffs for China, Canada, and Mexico are lowered. ‣ **U.S. average tariff rate: 15% (end of 2026)** **U.S. average tariff rate against China: 25% (end of 2026)**
Pessimistic Scenario	‣ Following a breakdown of U.S. trade negotiations with China, Canada, and Mexico, tariffs rise and affected countries respond with retaliatory tariffs. ‣ **U.S. average tariff rate: 25% (end of 2026)** **U.S. average tariff rate against China: 59% (end of 2026)**

Note: 1) Under both the optimistic and pessimistic scenarios, the **average tariff rate for Korea** is assumed to remain the same as in the baseline scenario.

GDP growth and inflation outlook by Scenario

GDP Growth rate

(%, %p)	2024	2025[e)]	2026[e)]
Baseline Projection	**2.0**	**0.9**	**1.6**
Optimistic scenario		-	**+0.1**
Pessimistic scenario		-	**-0.2**

Headline Inflation

(%, %p)	2024	2025[e)]	2026[e)]
Baseline Projection	**2.3**	**2.0**	**1.9**
Optimistic scenario		-	-
Pessimistic scenario		-	**-0.1**

Source: Research Department.

Economic Outlook Summary (August 2025)

	2024	2025			2026[e]		
	Year	H1[1]	H2[e]	Year[e][2]	H1	H2	Year[2]
Main Premises of the Baseline Outlook							
Global economic growth (%)[3]	**3.3**	3.2	2.5	**2.8** [+0.1]	2.6	2.9	**2.7** [-]
• United States	**2.8**	2.0	1.3	**1.7** [+0.1]	1.6	2.1	**1.9** [-]
• Euro area	**0.9**	1.3	1.0	**1.1** [+0.2]	0.9	1.4	**1.1** [-0.1]
• China	**5.0**	5.3	4.2	**4.7** [+0.5]	4.0	4.1	**4.1** [+0.1]
• Japan	**0.1**	1.5	0.6	**1.0** [+0.1]	0.0	1.0	**0.5** [+0.1]
Global trade growth (%)[3]	**3.8**	3.7	1.5	**2.6** [+0.2]	1.6	3.2	**2.4** [-0.1]
Brent oil price (USD/barrel)[4]	**80**	71	65	**68** [-1]	62	63	**63** [-2]
Domestic economic outlook							
GDP growth (%)[3]	**2.0**	0.2	1.6	**0.9** [+0.1]	2.0	1.3	**1.6** [-]
• Private consumption	**1.1**	0.7	2.0	**1.4** [+0.3]	2.2	1.1	**1.6** [-]
• Construction investment	**-3.3**	-12.4	-4.3	**-8.3** [-2.2]	4.4	3.2	**3.8** [+1.0]
• Facilities investment	**1.7**	4.8	0.3	**2.5** [+0.7]	0.9	1.2	**1.0** [-]
• IPP investment	**1.2**	1.3	4.3	**2.9** [-0.3]	3.5	1.6	**2.5** [-]
• Goods exports	**6.4**	1.6	3.3	**2.5** [+2.6]	0.4	-0.7	**-0.1** [-0.8]
• Goods imports	**1.3**	1.8	1.7	**1.8** [+1.6]	1.7	0.3	**1.0** [-0.5]
Headline CPI inflation (%)[3]	**2.3**	2.1	1.9	**2.0** [+0.1]	1.8	1.9	**1.9** [+0.1]
• Core inflation[5]	**2.2**	1.9	1.9	**1.9** [-]	1.8	1.9	**1.9** [+0.1]
Current account (USD 100 million)	**990**	494	607	**1,100** [+280]	372	478	**850** [+130]
• Goods	**1,001**	520	633	**1,153** [+307]	463	471	**935** [+144]
• Services	**-237**	-151	-154	**-306** [-50]	-171	-171	**-343** [-67]
• Primary and secondary income	**226**	125	128	**253** [+23]	80	178	**258** [+53]
Change in number of employed persons (10,000 persons)[3]	**16**	18	16	**17** [+5]	12	14	**13** [+3]
Unemployment rate (%)	**2.8**	3.1	2.6	**2.8** [-0.1]	3.1	2.6	**2.9** [-0.1]
Employment rate (%)[6]	**62.7**	62.6	63.1	**62.8** [+0.1]	62.7	63.1	**62.9** [+0.2]

Notes: 1) Global economic growth and global trade growth are forecasts.
2) Figures in [ ] show the changes from projections as of May 2025.
3) Year-on-year. 4) By period average. 5) Excluding food and energy. 6) Aged 15 and over.
Sources: Bank of Korea, Statistics Offices of each region, Bloomberg.

Macroeconomic Conditions and Outlook

1. Domestic and International Economic Conditions

Global Economy

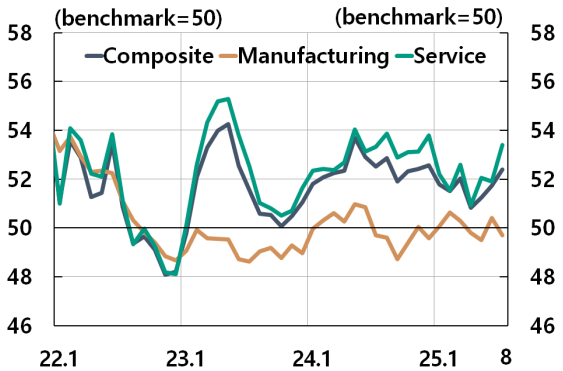
1.1. The world economy is expected to slow gradually as the effects of tariffs materialize, though uncertainty has eased somewhat following the tariff agreements negotiated between the United States and major trading partners. In the first half of this year, the global economy performed better- than-expected, buoyed by the strong front-loaded demand from corporations and households ahead of the implementation of U.S. tariffs. Regarding the global PMI, the manufacturing sector has remained sluggish overall since April, whereas the services sector has continued to experience consistent expansion.

The U.S. tariff policy has taken shape following agreements reached in late July with major partners, including South Korea, EU, Japan, and ASEAN countries. The average U.S. tariff rate is approximately 15%, including reciprocal and item-specific tariffs (such as those on automobiles) imposed on countries such as South Korea, EU, and Japan. Although this is higher than at the beginning of this year, it has significantly eased compared to April and May, when retaliatory tariff conflicts between the United States and China intensified. However, uncertainty remains on negotiations with China, India, and Brazil as well as the potential implementation of item-specific tariffs on semiconductors and pharmaceuticals.

The global economy is expected to experience pass-through of tariff shock to U.S. consumer price and slowdown in global demand, as companies' buffer capacity to absorb U.S. tariff shocks gradually diminishes. Despite ongoing uncertainty, the global economy is expected to demonstrate some resilience, supported by expanded fiscal spending in major economies such as the One Big Beautiful Bill Act in the U.S. and ReArm initiative in the EU, monetary policy easing, robust investment in artificial intelligence (AI),[1] stable international oil prices and favorable financial conditions.

Global services sector improves, while manufacturing remains sluggish

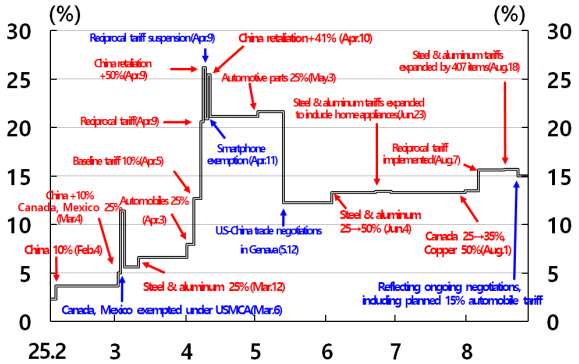
Figure 1.1. Global PMI



Sources: S&P Global, JPM.

U.S. tariff rates remain high, but volatility has eased

Figure 1.2. Trends of average U.S. tariff rate across all countries[1)]



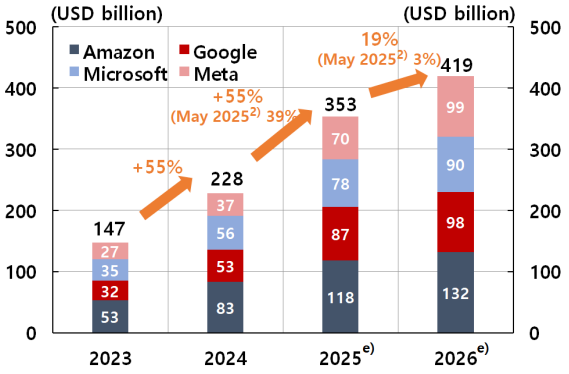
Note: 1) Estimated based on U.S. import data from 2024.
Source: Research Department.

[1] On July 23, the U.S. government unveiled "America's AI Action Plan," outlining three strategic pillars: accelerating AI innovation, building domestic AI infrastructure, and expanding U.S.-led AI exports. In parallel, major countries are actively developing "sovereign AI" systems, leveraging their domestic data and infrastructure. In the second-quarter earnings announcements, U.S. big tech companies including Alphabet and Meta raised their capital expenditure(CAPEX) guidance.

1.2. The global semiconductor industry is expected to maintain its favorable trend, driven mainly by high-performance products. High-performance semiconductors such as HBM posted strong growth in the first half of the year compared to the same period last year, driven by robust global demand linked to AI investments. Prices of low-performance and general-purpose semiconductors continued to rise due to front-loading demand ahead of U.S. item-specific tariffs on semiconductors, exhibiting a more favorable trend than expected. Going forward, high-performance semiconductors are forecast to remain robust, supported by expanding global investments in AI infrastructure. In contrast, the growth of low-performance and general-purpose semiconductors is projected to slow as front-loading demand reverses, consumer device (B2C) recovery stalls, and industry polarization deepens.[2] Looking ahead, the possibility of U.S. tariffs on semiconductors and IT devices, along with concerns over excessive AI investment, remain as a downside risk factor.

U.S. big tech CAPEX outlook revised up

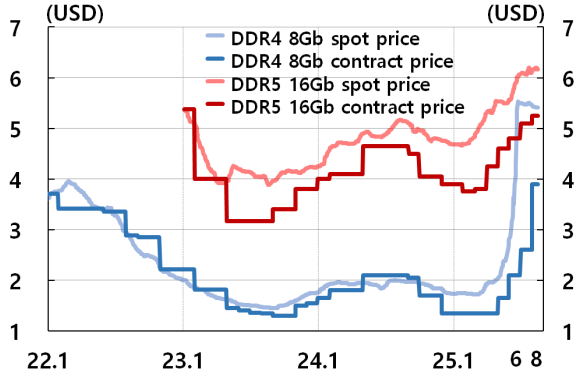
Figure 1.3. CAPEX of U.S. big tech firms[1)]



Notes: 1) Data covers actual CAPEX results for U.S. big tech firms from Q1 2023 to Q2 2025. Figures from Q3 2025 to Q4 2026 are estimates by investment banks as of August 19, 2025.
2) Projections are based on outlooks and forecasts available as of May 2025.
Source: Bloomberg.

DRAM prices continue to rise, driven by front-loading demand

Figure 1.4. DRAM prices



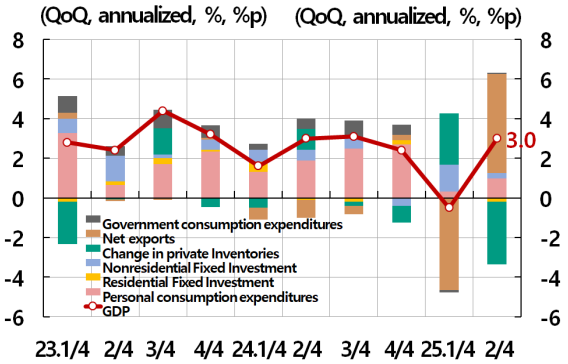
Source: DRAMeXchange.

[2] According to TrendForce, the global supply of and demand for general-purpose DRAM excluding HBM are expected to remain balanced in the second half of 2025, turning to excess supply next year, primarily in chips for PCs and mobile devices.

1.3. By major economies, the U.S. economy is projected to slow gradually as the effects of tariffs increasingly take hold. In the second quarter, the U.S. economy rebounded with growth of 3.0% (seasonally adjusted annual rate), driven primarily by a sharp reversal of imports, which declined substantially from a 37.9% surge in the first quarter to a 30.3% drop in the second, following front-loaded demand in the prior period. However, consumption, which had been a primary growth driver until last year, improved only slightly[3] following a sluggish previous quarter. Meanwhile, employment indicators that had shown strength are now slowing rapidly,[4] signaling weakening momentum of overall domestic demand. Going forward, prices are expected to rise more rapidly[5] as the effects of tariff policies materialize, while economic growth is projected to slow gradually. Although the negative effects of tariffs are expected to persist into next year, economic growth is projected to improve moderately compared to this year, supported by policies[6] aimed at promoting corporate investment. Looking ahead, the possible easing of tariff policies and expansion of business-friendly initiatives represent upside risks, while deepening trade conflicts and rising market interest rates—driven by concerns over the government's fiscal health—pose significant downside risks.

U.S. growth rebounded in Q2 as the front-loading demand effects of tariffs faded

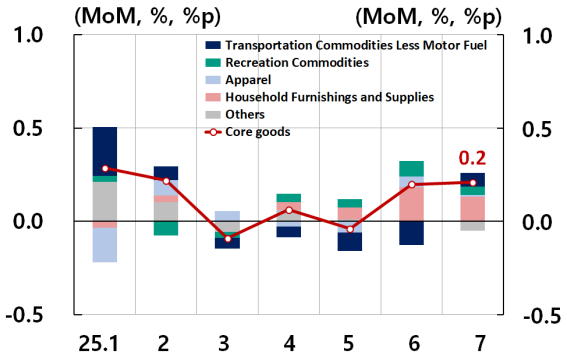
Figure 1.5. U.S. GDP growth rate and contributions



Source: BEA.

U.S. consumer prices rose mainly among tariff-affected items

Figure 1.6. U.S. core goods CPI and contributions



Source: BLS.

[3] In the first half of 2025, consumption increased by 1.6% compared to the second half of last year (seasonally adjusted annual rate), marking a significant slowdown from the solid growth recorded in 2024, which was 2.5% in the first half and 3.6% in the second.

[4] In July, U.S. non-farm payroll increased by 73,000 month-on-month, falling short of market expectations (104,000), while substantial downward revisions in May and June erased a combined 258,000 jobs from prior estimates—underscoring a clear cooling of the labor market. The slowdown in employment growth is likely attributable to multiple factors, including tightened immigration restrictions and public sector workforce reductions through dismissals.

[5] According to the PMI published by S&P Global in July, about two-thirds of manufacturing firms reporting increased input costs attributed the rise primarily to tariff increases. For more information on the impact of tariffs on U.S. prices, refer to the section FYI: "Why Does the Impact of Tariffs on U.S. Prices Emerge Slowly?"

[6] In early July, the U.S. Congress passed the One Big Beautiful Bill Act (OBBBA) - a major budget reconciliation bill emphasizing tax cuts as part of President Trump`s long-term fiscal plan of his second term - with growth effects expected to become more pronounced from 2026.

FYI **Why Does the Impact of Tariffs on U.S. Prices Emerge Slowly?**

The impact of the U.S.' broad-based tariff hikes is drawing close attention for its effects on the U.S. economy. If tariff burdens concentrate on firms, they are likely to lead to reduced employment and economic slowdown, while if shifted to consumers, they are highly likely to result in higher CPI inflation. Who ultimately bears the burden of tariffs has important implications for assessing future U.S. economic trends and guiding Federal Reserve monetary policy.

In financial markets, the prevailing view earlier this year was that higher tariffs would place considerable upward pressure on consumer prices in the U.S., as the tariff burden would be passed on to consumers. In May, investment banks projected consumer price inflation of around 3.1% on average under this assumption. More recently, U.S. consumer price inflation has picked up, shifting from a 0.1% decline in March to an average monthly gain of 0.2% between May and July. Price increases were notable among tariff-sensitive items, rising 1.8% for sporting goods and 1.3% for furniture over the period, indicating a partial pass-through of tariff effects.

However, given the time elapsed since the tariff measures took effect, the pace of pass-through to consumer prices has been slower and the magnitude weaker than during the first Trump administration[7] **or compared with projections made in May.**[8] Because the effects of tariff are transmitted in stages from importers and producers to consumers (Figure 1), the pace and magnitude of price spillovers vary depending on firms' response strategies. Given this transmission path, analysis of available trade and price data suggests that the delayed impact of tariffs on prices reflects several factors: **<1>** foreign exporters to the U.S. absorbing part of the tariff burden, **<2>** U.S. firms responding by building inventories and reducing profit margins, and **<3>** import sources quickly shifting to countries with lower tariff rates.

<1> Exporters absorbing part of tariff costs

Foreign companies exporting to the United States absorbed part of the import duties in the early stages of the tariff increases to maintain their market shares, thereby moderating the cost shock faced by U.S. firms. This has led to a decline in U.S. import prices (excluding duties), a trend particularly pronounced in industries facing higher tariff burdens, such as automobiles, which were subject to a 25% item-specific tariff imposed in April (Figure 2). In fact, foreign automakers have restrained consumer price increases in the United States and offered discounts[9] since the tariff hike, resulting in significant declines in operating profits. In the second quarter, Toyota reported a loss of USD 3.1 billion, followed by Volkswagen at USD 1.5 billion and Hyundai Motor at USD 0.6 billion, according to company disclosures.

<2> U.S. firms increasing inventories and reducing margins

U.S. firms preemptively built inventories through substantial front-loading prior to the tariff hikes, aiming to secure capacity to maintain prices. In the first quarter ahead of the implementation of high reciprocal tariffs, U.S. imports surged, especially for intermediate goods. The inventory secured through front-loading demand accounted for 39.4% of average monthly imports (measured as a trend), as captured by the import gap ratio (Figure 3). Excluding precious metals such as gold, which are treated as assets, the scale of inventory buildup still rose significantly to 22.8% of the average monthly import value.

---

[7] According to Minton and Somale (2025), during the first term of the Trump administration, the pass-through of tariff increases to consumer prices was completed within two months.

[8] An analysis based on the Inter-Country Input-Output (ICIO) framework showed that prices of industries expected to face substantial increases, such as textiles and clothing (projected +15.0%p) and fisheries (+12.2%p), have so far risen more slowly, with clothing prices increasing by only 3.0% and fisheries by 3.0% on an annualized basis compared to May. For details on model analysis results, refer to FYI: "Impact of Tariff Policy on U.S. Consumer Prices" in the Korean Economic Outlook of May 2025.

[9] Since April, Hyundai Motor has frozen its prices in the United States while maintaining a discounted sales policy. The discount period, initially set to end in June, has been extended twice and is now scheduled to continue until early September.

Figure 1. Transmission of tariff effects to consumer prices

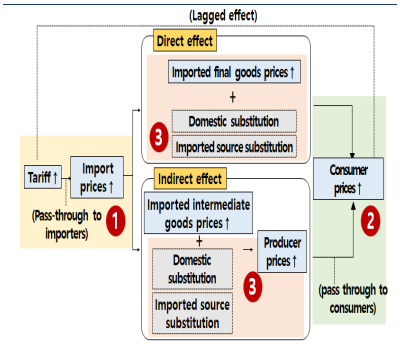
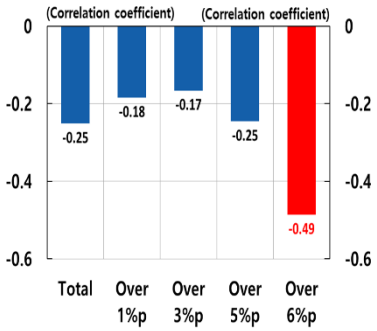
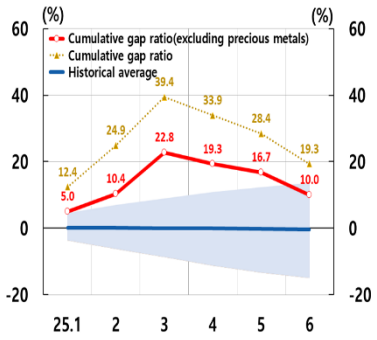


Figure 2. Correlation coefficient[1] between tariff rates and import price index by level of tariff increase



Note: 1) For tariff rates, the data reflect changes from February to May. For import prices, the changes are measured from March to July.
Sources: BLS, USITC, authors' own estimation.

Figure 3. Cumulative import gap ratio following tariff hikes[1]



Note: 1) Shaded areas represent confidence intervals calculated as ±1 standard deviation, estimated by the bootstrap method.
Sources: U.S. Census Bureau, authors' own estimation.

Furthermore, **recognizing the high price sensitivity of consumers, companies delayed price increases and absorbed cost shocks by reducing profit margins, which helped slow the spillover of tariff effects to consumer prices.** Examining producer prices by demand stage, prices of intermediate goods surged 1.8% in July compared to February, reflecting the impact of tariffs since March, whereas producer prices of final goods rose by only 0.1%, suggesting that producer companies are experiencing margin compression. Particularly for durable goods, for which consumers can adjust the timing of their purchases and exhibit relatively high price sensitivity, firms initially demonstrated a strong tendency to absorb tariff shocks by reducing profit margins (Figure 4).

<3> Import source diversion to lower-tariff countries

U.S. importers have actively diversified their sourcing toward countries with lower tariff rates, thereby helping mitigate the upward pressure on consumer prices. In the second quarter, the share of U.S. imports from China dropped sharply[10] by 5 percentage points compared to 2024. At the same time, import shares from Mexico (+0.7%p), a USMCA member,[11] as well as Vietnam (+1.5%p), Thailand (+0.6%p), and India (+0.4%p), which are emerging as substitutes for China, all increased. The tariff reduction effect from import source switching was significant, with the difference between actual effective tariff rates and those based on 2024 import shares averaging a 3%p reduction in May and June.

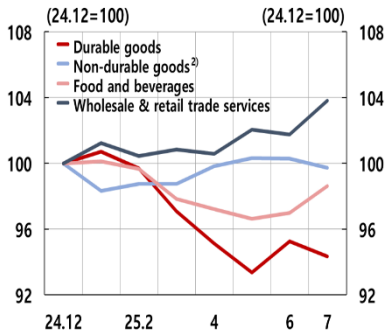
[10] The share of U.S. imports from China declined more sharply than the Bank of Korea's projected 4.3%p drop, based on estimates using the Inter-Country Input-Output Model, which incorporates substitution effects.
[11] Items covered under the United States-Mexico-Canada Agreement (USMCA), a free trade agreement among the three countries, are exempt from the current U.S. reciprocal tariff measures.

Import source diversions have occurred on a larger scale and at a faster pace than during the trade conflicts in the first term of the Trump administration. The Import Source Diversion Index,[12] which measures the extent of trade shifts by country, increased gradually by 3.1 percentage points over a prolonged period spanning the first term of the Trump administration (June 2017 to September 2019) amid tariff hikes. However, in the current period (November 2024 to June 2025), the index surged sharply by 6.6 percentage points (Figure 5). This is attributable to not only larger tariff increases but also firms' preemptive preparations for tariff policy changes based on their experience during the first term of the Trump administration as well as increased substitute production capacity[13] in emerging market economies.

Going forward, U.S. consumer prices are expected to face increasing upward pressure as the factors discussed above gradually weaken and the full effects of tariffs materialize. Since May, amid a moderation in the decline of prices of imports from China and rebound of U.S. producer profit margins, combined with ongoing tariff negotiations reaching agreements, companies have been adjusting their pricing strategies to reflect tariffs (Richmond Fed, August 8, 2025). Moreover, as import inventories accumulated through front-loading declined sharply, from 39.4% in March to 19.3% in June, the capacity for delaying price increases has markedly diminished. Additionally, reciprocal tariff rates for major substitute countries for China, including Vietnam, Philippines, and Indonesia, have been set higher—at around 20% compared to the previous 10%—likely weakening the buffering effect of import source diversion.

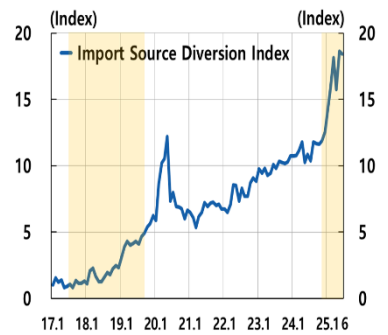
In summary, this year's CPI inflation is projected to reach 2.8%, near initial expectations, and expected to hover around 3% by the end of the year (Figure 6). Next year, as this year's tariff effects partially carry over and expansionary fiscal policy under the OBBBA supports demand, downside pressures are expected to ease, slowing the pace of disinflation. Consequently, CPI inflation is projected to be 2.6% in 2026.

Figure 4. Producer margin by Industry[1)]



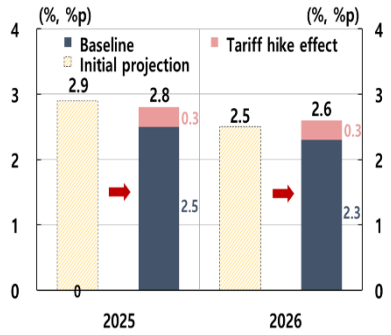
Notes: 1) Producer profit margin is calculated as the ratio of final demand PPI to intermediate demand PPI.
2) Excluding food and beverage, and energy.
Source: BLS.

Figure 5. Import Source Diversion Index[1)]



Note: 1) Based on the average shares of imports by country in 2017.
Sources: U.S. Census Bureau, authors' own estimation.

Figure 6. Headline inflation outlook



Source: Authors' own estimation.

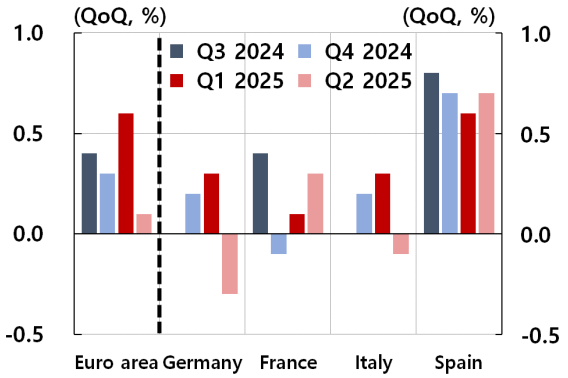
[12] The Import Source Diversion Index (T_t) measures the extent of change in the share (w) of imports by country (i) at a specific time compared to a reference time (w_{io}). Mathematically, it is calculated as: ($T_t = 0.5 \sum_t |w_{it} - w_{i0}|$ $(0 \leq T \leq 100)$).

[13] For instance, when India began iPhone production in 2017, it was limited to older models. However, by 2024, the range of products expanded significantly, encompassing not only basic models but also Pro models (Reuters, WSJ).

1.4. The euro area economy is projected to continue improving, supported by monetary policy easing to date and solid labor market conditions, although the pace is expected to be subdued due to the impact of U.S. tariff policies. In the second quarter, euro area growth has softened significantly, dropping from 0.6% in the first quarter to 0.1% in the second quarter, as the boost from front-loading in the previous quarter unwound. While France and Spain experienced growth in the second quarter of 2025, Germany, Italy, and Ireland contracted. The euro area economy is forecast to strengthen gradually, underpinned by earlier monetary policy easing and a resilient labor market. However, despite reduced uncertainty following the U.S.-EU tariff agreement,[14] growth is expected to remain slow given the more pronounced impact of U.S. tariffs and the ongoing strength of the euro. Looking ahead, upside risks include favorable outcomes from further tariff negotiations[15] and the early implementation of fiscal policies, while downside risks involve the potential resurgence of trade conflicts and escalation of geopolitical tensions.

Euro area growth rate varied across countries in Q2

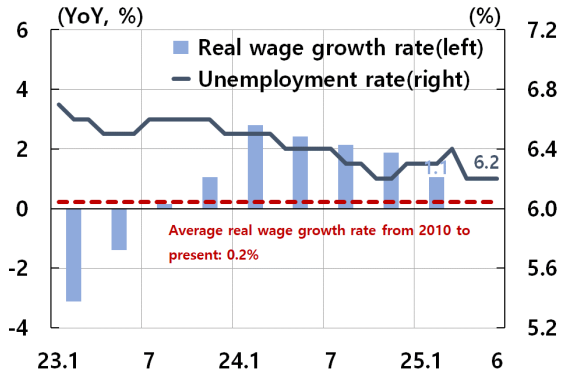
Figure 1.7. GDP growth rate in the euro area and major countries



Source: Eurostat.

Solid labor market conditions are supporting the euro area's recovery

Figure 1.8. Labor market conditions in the euro area



Source: Eurostat.

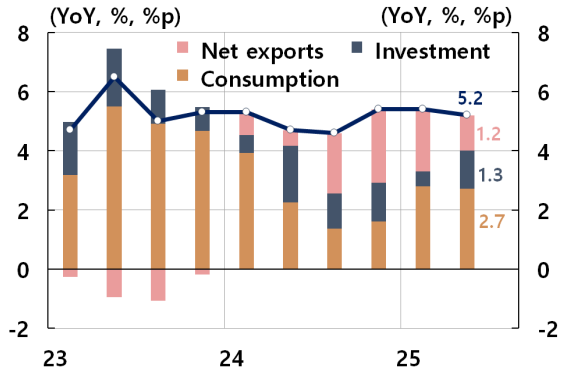
[14] On July 27, 2025, the United States and European Union reached a tariff agreement that sets an upper limit of 15% on reciprocal tariff rates. The deal exempts strategic items such as aircraft and parts, and certain chemical products. Additionally, the EU has committed to invest USD 600 billion in the United States by 2029, purchase U.S.-produced energy worth USD 750 billion over three years, and procure military supplies.

[15] Following the U.S.-EU tariff agreement, the EU is pursuing subsequent negotiations on wine and alcoholic beverages, for which tariff exemptions have yet to be determined, as well as a phased reduction of tariffs on steel and aluminum through the introduction of a quota system.

1.5. China's economy grew faster than expected, but the growth is projected to slow as the impact of U.S. tariffs becomes more pronounced. China's economy posted stronger-than-expected growth of 5.3% in the first half of the year, driven by solid private consumption supported by government policies such as "Yi Gu Huan Xin" (trade-in for new products) and improved exports. In July, while exports remained firm, domestic demand showed signs of slowing due to delays in policy implementation. Going forward, China's growth is expected to moderate as the effects of U.S. tariffs become more pronounced. However, government measures[16] to boost domestic demand and diversify export markets are likely to offset these headwinds. The outlook for China's economy will largely depend on the degree of uncertainty surrounding its trade negotiations with the United States. Additional policy support from the government serves as an upside risk, while structural vulnerabilities such as industrial overcapacity[17] and continued weakness in the property market pose downside risks.

China's growth is driven by consumption supported by government policies

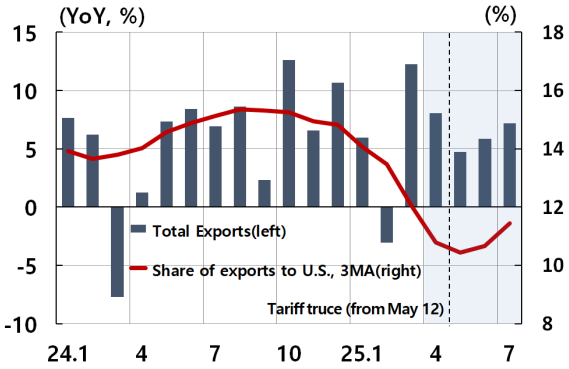
Figure 1.9. China's economic growth rate and contributions by sector



Source: National Bureau of Statistics of China.

Export market diversification reduces reliance on the U.S.

Figure 1.10. China's exports and share of exports to the U.S.[1)]



Note: 1) The shaded area indicates the period following the United States' announcement of reciprocal tariff imposition on April 2.
Source: General Administration of Customs of the People's Republic of China.

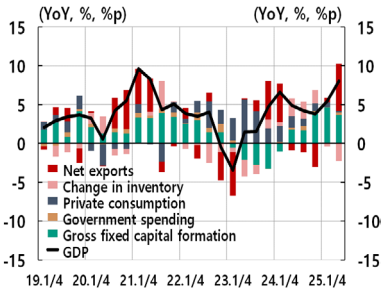
[16] The China's government is implementing policies to boost consumption and stimulate domestic demand, including support for services consumption, a child-rearing subsidy of CNY 3,600 per year for children under three, and subsidies for replacing old durable goods.

[17] The China's government is implementing supply-side reforms to reduce excessive competition by addressing overproduction through restructuring of the steel, cement, and solar industries and revising rules regarding low-price dumping practices.

FYI Status and Prospects of the Taiwanese Economy Following U.S. Tariff Imposition

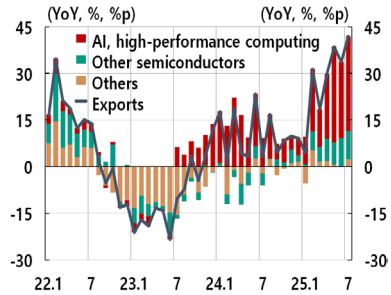
In the second quarter of this year, the Taiwan's economy recorded 8.0% year-on-year growth, demonstrating strong expansion[18] **despite the impact of U.S. tariff policies.**[19] This is attributed to a rapid increase in semiconductor exports driven by strong demand for AI and high-performance chips as well as the United States' delayed imposition of tariffs on semiconductors. Recent exports of AI and high-performance semiconductors from Taiwan, led by major IT firms with advanced technology such as TSMC, Foxconn, and MediaTek, have significantly boosted overall exports, accounting for 75% of increase in the second quarter of 2025 and 73% in July. Notably, the sustained rapid growth of exports to the United States—rising 67.1% in the second quarter of 2025 and 62.8% in July—is largely driven by a surge in semiconductor exports. This surge was prompted by front-loading demand ahead of the imposition of tariffs on semiconductors, which accounted for about two thirds of Taiwan's exports to the U.S. (63.5% in 2024, including technology product).

Taiwan's GDP growth rate and contributions by sector



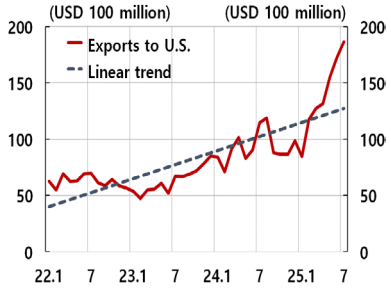
Source: National Statistics, Republic of China (Taiwan).

Exports of AI, high-performance computing,[1)] and other semiconductors



Note: 1) ICT and AV products, etc.
Sources: National Statistics, Republic of China (Taiwan), estimate of Research Department.

Taiwan's exports to the United States[1)]



Note: 1) Based on USD.
Source: Ministry of Finance, Republic of China (Taiwan).

For domestic demand, investment maintained its growth momentum, led by semiconductor equipment, with growth rates of 23.8% in Q4 2024, 17.0% in Q1 2025, and 5.0% in Q2 2025. In contrast, private consumption has been sluggish—growing by 2.1%, 1.3%, and 0.5%, respectively—due to decreased spending on food and beverage services, such as dining out, as well as durable goods.[20]

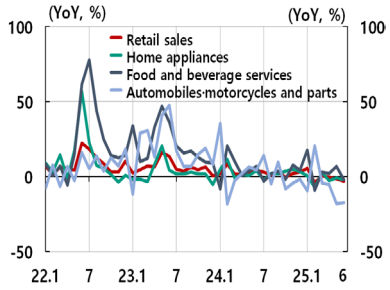
[18] The growth rate of 8.0% recorded in the second quarter of this year is the highest since the pandemic, when Taiwan's economy expanded by 9.6% in the first quarter of 2021. That earlier surge was driven by increased exports of semiconductors and electronic products related to the contactless digital economy.

[19] The United States lowered its reciprocal tariffs on Taiwan from 32% (imposed on April 2) to 20% (July 31). The Taiwan's government is negotiating to secure a reciprocal tariff rate that is equal to or more favorable than the rates agreed upon by other countries that have made agreements with the United States—such as South Korea, Japan, and the EU, which all have tariffs of around 15%—including Most-Favored-Nation (MFN) treatment. However, the outcome of these negotiations remains uncertain.

[20] Automobile sales, including motorcycles and parts, remained sluggish as consumers delayed vehicle purchases in anticipation of reduced duties on U.S. imports.

In the Taiwan's economy, despite concerns over the imposition of tariffs on semiconductors, the dominance of Taiwan's companies is expected to persist[21] amid the rapid expansion of demand for AI and high-performance chips. Consequently, growth projections were revised upward in August. **Looking ahead, the Taiwan's economy is expected to be highly sensitive to developments in the global semiconductor industry, given its heavy dependence[22] on this industry.[23]**

Retail sales by item



Source: Ministry of Finance, Republic of China (Taiwan).

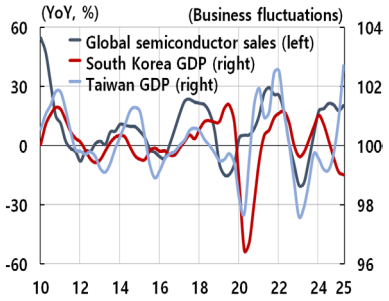
Taiwan's economy growth projections by institution[1)]

(YoY, %)

Forecasting institutions	2025	2026
Average of projections by investment banks[2)]	4.7 <3.0>	2.4 <2.4>
National Statistics, Republic of China (Taiwan) in August 2025	4.5 <3.1>	-
Central Bank of the Republic of China (Taiwan) in June 2025	3.1	-
IMF in April 2025	2.9	2.5

Notes: 1) Figures in < > are projections in May 2025.
2) Average of 18 investment banks with adjusted projections on August 21 after GDP announcement in the Q2 of 2025.
Sources: Bloomberg, IMF, National Statistics, Republic of China (Taiwan), Central Bank of the Republic of China (Taiwan).

Semiconductor industry and Taiwan's cyclical fluctuation[1)]



Note: 1) Long-term cyclical component (Q1 1982 to Q2 2025).
Sources: WSTS, estimate of Research Department.

[21] TSMC is reported to have reached a 100% capacity utilization rate for its cutting-edge 3nm process. Additionally, according to Counterpoint Research, the utilization rate for the 2nm process is expected to rise rapidly.

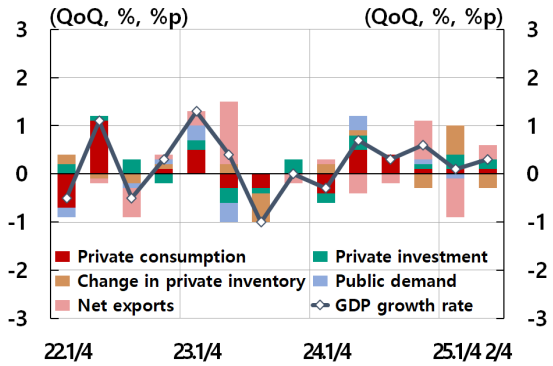
[22] The share of computer, electronic, and optical device manufacturing (including semiconductors) in GDP in 2024 is estimated at 20.7% for Taiwan (Research Department estimate) and 7.3% for South Korea.

[23] The correlation coefficient between the domestic economic growth rate and the growth rate of the global semiconductor industry from Q1 2010 to Q2 2025 is 0.75 for Taiwan and 0.50 for South Korea.

1.6. Japan's economy is expected to slow. In the second quarter, Japanese economy expanded by 0.3% compared to the previous quarter, driven primarily by increased capital investment and exports. Facilities investment continued to increase, driven by the adoption of automation and digitalization, while exports also expanded, supported by strong performance in electronics and components. Looking ahead, growth is expected to weaken during the country's recovery phase, primarily due to a contraction of household consumption capacity caused by high inflation and the impact of U.S. tariff measures. Following the outcome[24] of tariff negotiations, automobiles and parts, which represent a significant share of exports to the United States, were subject to a lower-than-expected tariff rate—a positive outcome. However, persistently high uncertainty surrounding the global trade environment is likely to constrain Japan's capital goods exports. Following the House of Councilors election,[25] expectations for government measures to stimulate consumption through tax cuts and subsidies surged. However, widespread domestic and international concerns[26] about Japan's fiscal situation are likely to limit the government's ability to implement proactive fiscal policies.

Japan: GDP growth slowed in Q2

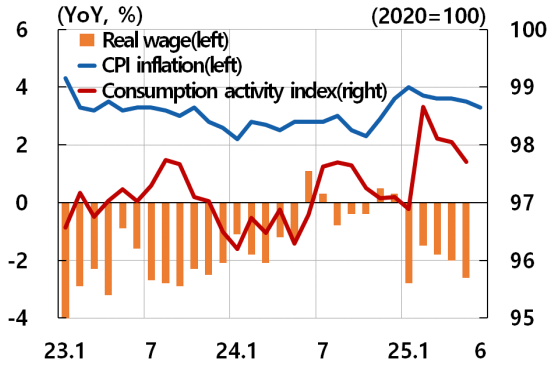
Figure 1.11. Japanese GDP growth rate and contributions by sector



Source: Cabinet Office of Japan.

Household consumption constrained by high inflation

Figure 1.12. Japan's real wages, consumer prices, and consumption indicators



Sources: Cabinet Office of Japan, Ministry of Health, Labor and Welfare of Japan, and Bank of Japan.

[24] On July 22, the United States and Japan reached an agreement on tariffs. The agreement provides for a reciprocal tariff rate of 15%, including on automobiles and automotive parts, as well as measures to accommodate the U.S.' demands for greater access to Japan's automobile and agricultural markets. It also includes commitments for investment in the United States amounting to USD 550 billion.

[25] Political parties presented election pledges that included tax cuts, such as a consumption tax reduction, and expansionary fiscal measures, including a payment of JPY 20,000 to all citizens.

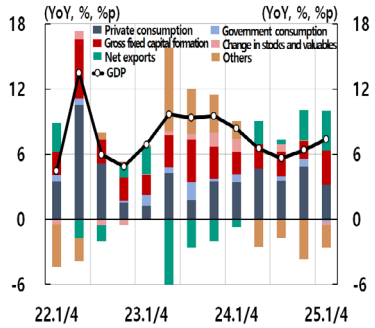
[26] Moody's warned on July 22 that a sustained deterioration of Japan's fiscal position could lead to a downgrade of the country's sovereign credit rating. In financial markets, concerns over fiscal soundness following the election pushed the yield on 10-year Japanese government bonds to 1.61% on July 24, the highest level this year.

1.7. The emerging market economies in Asia continue to experience favorable growth, though this growth is expected to moderate as the effects of U.S. tariff policies take hold. India continued solid growth driven by domestic demand, supported by expanded agricultural production and increased consumption[27] in rural area, along with the government's heightened investment in infrastructure. In the ASEAN-5 countries, favorable growth has persisted, driven largely by exports and investment. In particular, customs-cleared exports posted double-digit growth in the second quarter.[28] Going forward, while consumption in the Asian emerging market economies is expected to rise steadily, export growth is likely to slow due to the impact of U.S. tariff hikes,[29] and investment sentiment is projected to contract, leading to a lower growth rate. India was initially expected to benefit from the relocation of production facilities from China due to U.S. tariff policies; however, the country now faces increased downside risks after the U.S. imposed high tariff rates, citing India's continued imports of Russian crude oil. In the case of the ASEAN-5, despite relatively favorable negotiation outcomes, their high dependence on Chinese intermediate inputs means that transshipment-based tariff rules could have a larger-than-expected negative impact on their exports.[30]

Exports and investment drive growth in EMEs in Asia

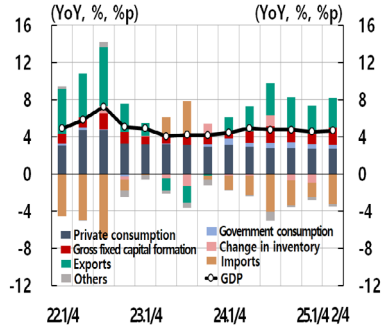
ASEAN-5 show a close linkage between imports from China and Exports to U.S., partly due to processing trade and transshipment

Figure 1.13. India's GDP growth rate



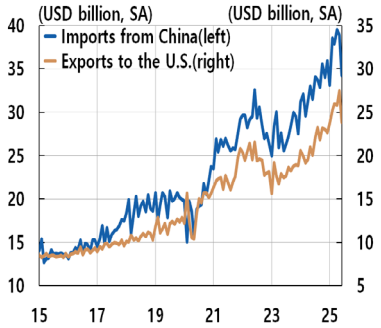
Source: Ministry of Statistics and Programme Implementation of India.

Figure 1.14. GDP growth rate in four ASEAN states[1)]



Note: 1) Excluding Vietnam.
Sources: statistics offices of each area, HAVER.

Figure 1.15 ASEAN-5 imports from China and exports to the U.S.



Source: CEIC.

[27] ► Share of agricultural workers in total employment in India: 43.5% (as of 2023)
► Retail sales in India (YoY, %): +6.0 in Q4 2024 → +5.0 in Q1 2025 → +6.3 in Q2

[28] ► ASEAN-5 customs-cleared exports (YoY, %): +10.3 in Q4 2024 → +10.8 in Q1 2025 → +14.3 in Q2

[29] Reciprocal tariff rates for Asian EMEs (announced on August 1, figures in ( ) refer to reciprocal tariff rates imposed on April 2)

(%)	India[1)]	Vietnam	Thailand	Malaysia	The Philippines	Indonesia
►Reciprocal tariff rate	25 (26)	20 (46)	19 (36)	19 (24)	19 (17)	19 (32)

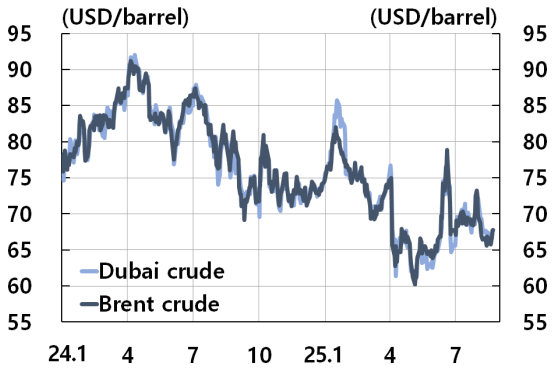
Note: 1) 50% duties are scheduled to be imposed starting August 27.

[30] On July 31, the United States announced that it would impose a 40% tariff on transshipped items, applicable to all countries, to curb third-country circumvention of Chinese-origin goods.

1.8. International oil prices are expected to decline to the low-to-mid USD 60 range amid continued high supply of OPEC+. From mid-July, oil prices rose with the progress in U.S. tariff negotiations with major countries and the escalating U.S.-Russia tensions[31] and then declined to the mid-to-high USD 60 range, influenced by weak U.S. employment data and OPEC+'s decision[32] to increase production. Going forward, international oil prices are projected to face continued downward pressure as OPEC+ maintains high production levels. Upside and downside risks to the oil price outlook persist simultaneously, including potential end of the Russia-Ukraine war, renewed escalation of U.S.-China trade tensions and intensified sanctions on Iran by major countries.

International oil prices rose on progress in U.S. tariff negotiations and then fell due to increased production from OPEC+

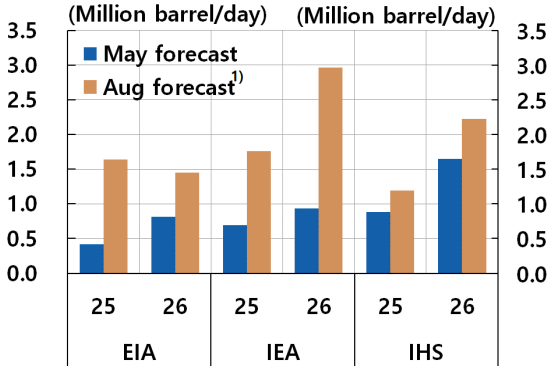
Figure 1.16. Global oil prices



Source: Bloomberg.

Forecasts for global oil excess supply raised by major institutions

Figure 1.17. Global crude oil excess supply forecast for 2025 and 2026



Note: 1) IHS data as of July.
Source: EIA, IEA, IHS

[31] After President Trump stated that countries importing Russian energy products would face 100% secondary tariffs unless Russia agreed to a ceasefire quickly, concerns over global crude oil supply disruptions have intensified. However, in practice, the measure was limited to India-among the largest importers of Russian crude with China-with an additional 25% tariff imposed from August 27.

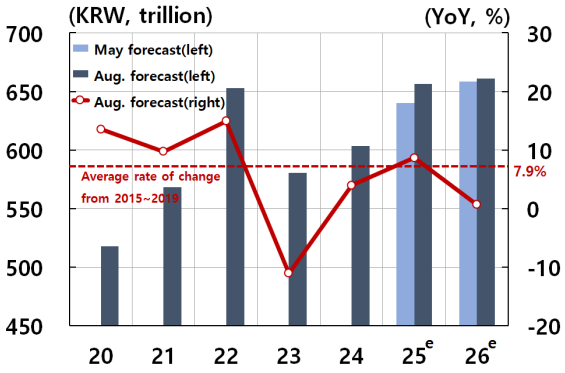
[32] OPEC+ announced that the production increase for August and September would be approximately 550,000 barrels per day, up from 420,000 barrels per day from May through July. Consequently, the easing of the production cuts—the unwinding of the third production cuts of 2.2 million barrels per day implemented since January 2024— which was initially scheduled to continue gradually from April 2025 to September 2026, is now likely to be completed by September 2025, one year earlier.

Korea's Economy

1.9. The consolidated fiscal expenditure of the central government is expected to grow at a rate exceeding the average of normal years, driven by the second supplementary budget. Fiscal expenditure is projected to expand significantly in the third quarter, driven by the swift implementation of a KRW 13.9 trillion consumption coupon program (with an application rate of 96.7% as of August 13), which is included in the second supplementary budget.[33] This follows the first supplementary budget of KRW 13.8 trillion passed on May 1. From a forward-looking perspective, the government's commitment to expansionary fiscal policy and enhanced spending capacity[34] represent upside risks. Meanwhile, a decline in tax revenue linked to sluggish corporate performance—attributable to U.S. tariffs and increased production in alternative overseas locations—constitutes a downside risk. The deficit ratio of the managed fiscal balance as a percentage of GDP is projected to increase slightly into the low 4% range, driven by the formulation of the second supplementary budget.

Consolidated fiscal expenditure for 2025 to expand due to the supplementary budget

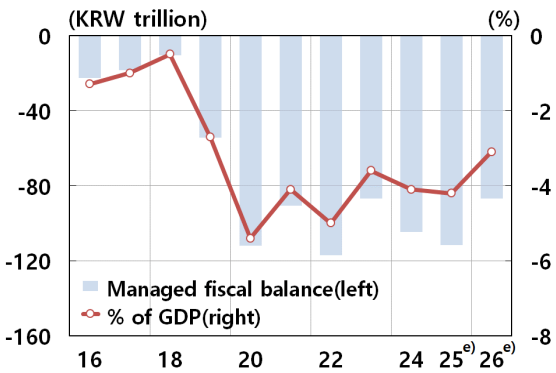
Figure 1.18. Outlook for consolidated fiscal expenditure[1)]



Note: 1) Figures for 2025 are based on the supplementary budget, and figures for 2026 on the National Fiscal Management Plan.
Sources: Ministry of Economy and Finance, Bank of Korea.

Deficit ratio in the managed fiscal balance projected to remain similar to that of the previous year

Figure 1.19. Outlook for managed fiscal balance[1)]



Note: 1) Figures for 2025 and 2026 are projections by the Ministry of Economy and Finance.
Source: Ministry of Economy and Finance.

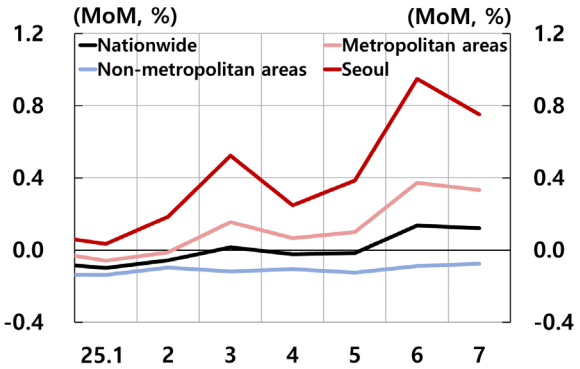
[33] On July 4, 2025, the National Assembly passed the second supplementary budget, totaling KRW 31.8 trillion, which includes a revenue adjustment (KRW 10.3 trillion) and expenditure restructuring (KRW 5.3 trillion). As a result, actual fiscal expenditure increased by KRW 16.2 trillion, according to the Ministry of Economy and Finance.

[34] Since the second supplementary budget includes a revenue adjustment of KRW 10.3 trillion, concerns over the tax revenue shortfall, which had been a burden on fiscal expenditure, were partially addressed. In addition, the government's tax reform plan (July 31) includes hikes of the corporate tax rate and securities transaction tax rate, with tax revenues estimated by the government to increase by KRW 2.6 trillion in 2026 and KRW 5.6 trillion in 2027.

1.10. Housing prices based on the housing price index, re-accelerated, led by Seoul in the Seoul metropolitan area, but eased somewhat after the government announced stabilization measures, while downward trend persisted in non-Seoul metropolitan areas. In the Seoul metropolitan area, housing prices saw a modest slowdown in July as purchase sentiment weakened following the announcement of the government's stabilization measures to tighten loan regulations on June 27.[35] In non-Seoul metropolitan areas, housing prices continued to decline, largely due to the accumulation of unsold new homes.[36] Meanwhile, *jeonse* (housing lease on a lump-sum deposit basis) prices continued to rise gradually in July, while the increase in monthly rents accelerated.

Housing prices growth slows in the Seoul metropolitan area, while non-Seoul metropolitan areas continue to see declines

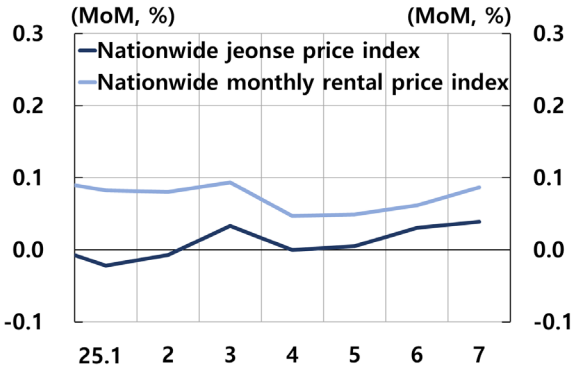
Figure 1.20. Housing price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

***Jeonse* prices rise gradually, while monthly rents accelerate their increase**

Figure 1.21. *Jeonse* and monthly rent price index[1)]



Note: 1) Monthly trends.
Source: Korea Real Estate Board.

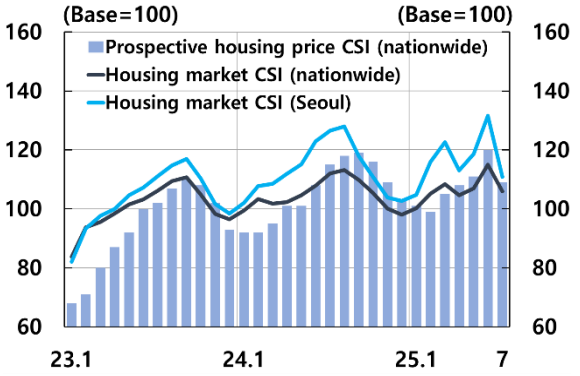
[35] On June 27, 2025, the government announced strengthened household debt management measures, including stricter total-volume management of household lending, the extension of banks' voluntary management measures to all financial institutions, a KRW 600 million credit limit on mortgage loans for home purchases, and tighter loan-to-value (LTV) regulations.

[36] In June 2025, unsold housing units in non-Seoul metropolitan areas reached at around 50,000, exceeding the long-term average of 40,000 units (2010 to 2024), for the 32nd consecutive month since November 2022.

1.11. However, uncertainty remains high regarding whether housing prices will achieve sustained stabilization going forward. In the Seoul metropolitan area, housing purchase sentiment was moderated somewhat, largely in Seoul, under the influence of macroprudential policies. However, underlying upward pressure persists, including concerns over housing supply shortages and expectations for easing financial conditions. Housing prices in non-Seoul metropolitan areas, as the backlog of unsold housing units gradually eases due to government measures, the pace of decline is expected to moderate gradually.[37]

Prospective housing price CSI and housing market CSI both slow

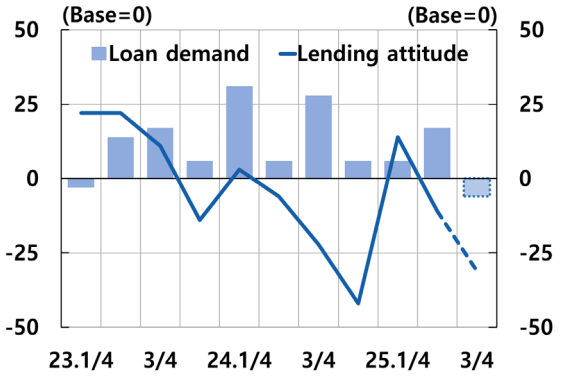
Figure 1.22. Prospective housing price CSI and housing market CSI



Sources: Bank of Korea, Korea Research Institute for Human Settlements.

Demand for loans is expected to decrease amid tightening lending attitude

Figure 1.23. Loan demand index and lending attitude index[1)]



Note: 1) The positive and negative lending attitude indices for household loans (primarily housing loans) indicate the easing and tightening of lending attitudes of financial institutions, respectively. Similarly, positive and negative loan demand indices represent increases and decreases in loan demand. Figures for Q3 2025 are projections.
Source: Bank of Korea.

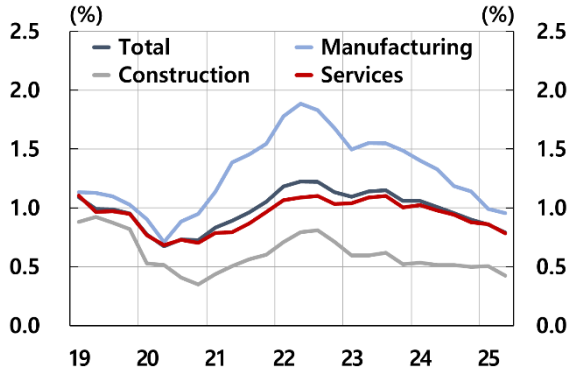
1.12. The downward pressure on wage conditions persists. The job vacancy rate, which is closely linked to regular payment trends, continues to decline across industries. Consequently, the V/U (job vacancy rate to unemployment rate) ratio, an important indicator of labor market tightness, has remained below its long-term average of 0.33 (2015 to 2024) for three consecutive quarters. Furthermore, corporate earnings, which typically influence special (bonus) payments with a time lag of approximately two quarters, turned negative in the second quarter.[38]

[37] The strengthened household debt management measures, announced on June 27, 2025, tightened lending regulations, focusing on the Seoul metropolitan area and designated regulated areas. On August 14, 2025, the government announced a region-focused plan to bolster construction investment, aimed at supplementing housing demand in regional areas and improving supply conditions.

[38] Year-on-year operating income growth among major enterprises: 61.3% in Q4 2024 → 18.0% in Q1 2025→ -6.3% in Q2 2025 (FnGuide, August 14)

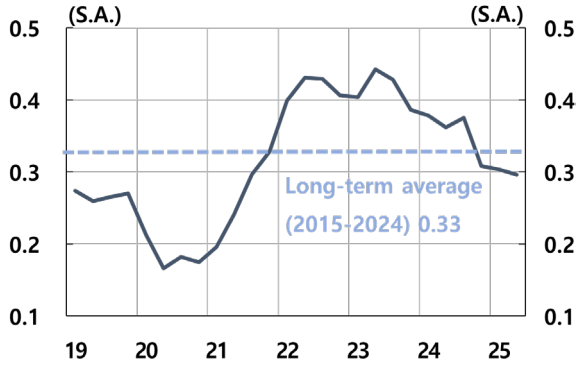
Job vacancy rate continues to decline

Figure 1.24. Job vacancy rate by sector



Labor market tightness falls below long-term average

Figure 1.25. Labor market tightness

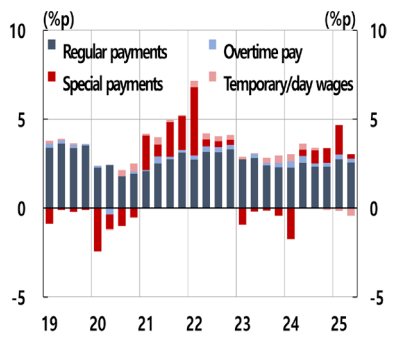


Sources: Ministry of Employment and Labor, Statistics Korea.

1.13. The nominal wage growth rate is projected to remain slow in the near term, influenced by a deterioration of corporate earnings due to U.S. tariff policies, with a recovery expected starting next year. In April and May, nominal wage growth slowed more rapidly than expected, mainly due to reduced employment demand in the manufacturing sector, which was influenced by ongoing external uncertainties and weakening corporate earnings. Wages for temporary and day workers also declined, pushed down by a decrease in employment in the construction sector, where wage levels are relatively high. Wage growth is expected to continue slowing in the second half of the year due to the impact of deteriorating corporate earnings in the first half, with a recovery anticipated next year, driven by improvements in the services sector.

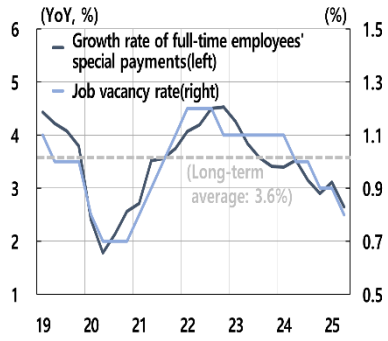
Wage growth rate slow in April and May

Figure 1.26. Breakdown of contributions to wage growth



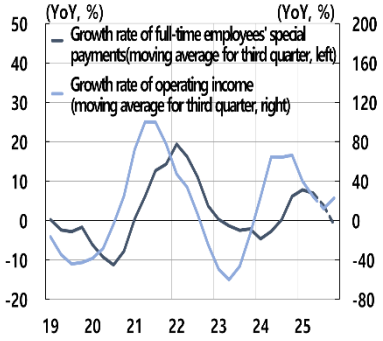
Growth of regular payments for full-time Employees remains below the long-term average

Figure 1.27. Growth rate of regular payments



Special payment growth expected to weaken in the second half

Figure 1.28. Growth rate of special payments

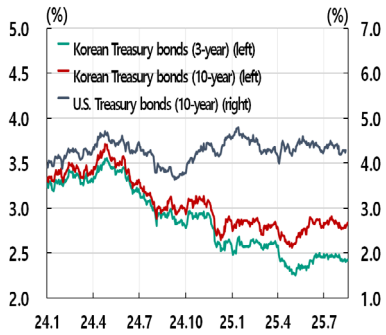


Sources: Ministry of Employment and Labor, FnGuide.

1.14. Since the May outlook, long-term market interest rates have risen and then declined, influenced by Treasury bond supply and demand conditions as well as movements in U.S. Treasury bond yields. The yield on 3-year Treasury bonds climbed to 2.5% on June 23 with the potential expansion of Treasury bond issuance and then eased to the low 2.4% range in August, influenced by weak U.S. employment indicators and the resulting decline in U.S. Treasury bond yields. Credit spreads on corporate bonds continued to narrow, mainly for prime bonds (AA-, 3-year), supported by solid and persistent investment demand.[39] Stock prices soared as investment sentiment improved and foreign stock investment funds flowed in,[40] driven by progress on U.S. tariff negotiations with major countries and expectations for capital market system reforms. The KRW/USD exchange rate declined alongside a weaker U.S. dollar, influenced by concerns over a potential U.S. economic slowdown amid policy uncertainty. In July, the KRW/USD exchange rate rebounded, driven by favorable U.S. economic indicators, hawkish FOMC outcomes, and caution surrounding Korea-U.S. tariff negotiations. The rise then moderated amid growing expectations that the U.S. Federal Reserve would cut interest rates following the release of sluggish U.S. employment data in July.

Long-term interest rates fall after an initial rise

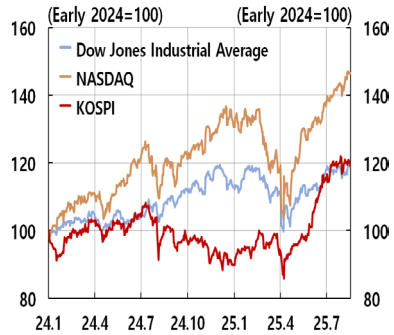
Figure 1.29. Korea and U.S. Treasury bond yields



Sources: Bank of Korea, Bloomberg.

Stock prices soar

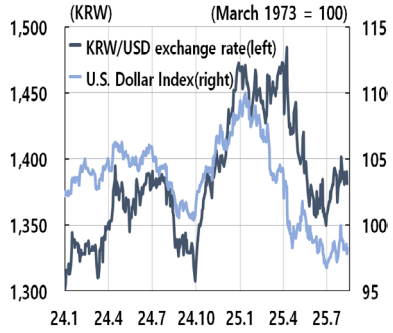
Figure 1.30. Stock prices in Korea and the U.S.



Sources: Bank of Korea, Bloomberg.

KRW/USD exchange rate rebounds after a prior fall

Figure 1.31. KRW/USD and U.S. Dollar Index



Sources: Bank of Korea, Bloomberg.

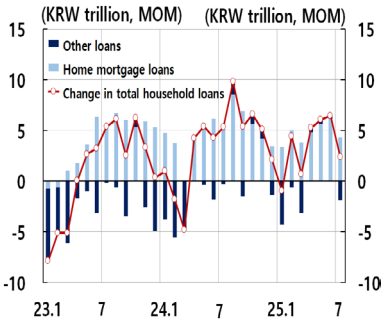
[39] ► Corporate bond credit spread (AA-, 3-year, bp): end-Dec. 2024 68 → end-May 2025 53 → end-June 2025 50 → Aug. 12 2025 48 (long-term average: 51)
► Corporate bond credit spread (A-, 3-year, bp): end-Dec. 2024 168 → end-May 2025 159 → end-June 2025 161 → end-Aug. 12 2025 160 (long-term average: 155)

[40] Foreign stock investment, which had seen 9 consecutive months of net selling from August 2024, shifted to net buying in May 2025.

1.15. The household loan growth accelerated in the second quarter, and then eased in July, while corporate financing continued its overall downward trend. The growth of household loans from financial institutions accelerated in the second quarter with home mortgage loans, driven by an overheated housing market in the Seoul metropolitan area from February.[41] However, in July, household loan growth slowed markedly. The government's June 27 debt management measures had a rapid impact, particularly on home mortgage loans for livelihood funds and unsecured loans, which tend to respond quickly to new regulations due to their short implementation lags. Bank lending to corporations increased temporarily in April and May, reflecting the supply of policy loans. However, the upward trend slowed again from June as corporate demand for funds remained subdued and banks continued to prioritize credit risk management. Direct financing surged in July, driven by large rights issues by several corporations, while corporate bond issuance experienced net redemptions from May as a result of sluggish demand for corporate facility funds.

Growth of household loans slows in July

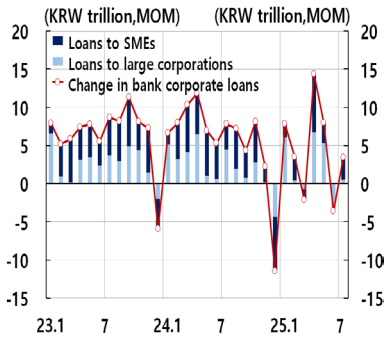
Figure 1.32. Change in household loans[1)2)]



Notes: 1) Deposit-taking banks and non-bank financial institutions.
2) Excluding policy loans from the Housing and Urban Fund (own resources).
Source: Bank of Korea.

Banks' corporate loans slow overall

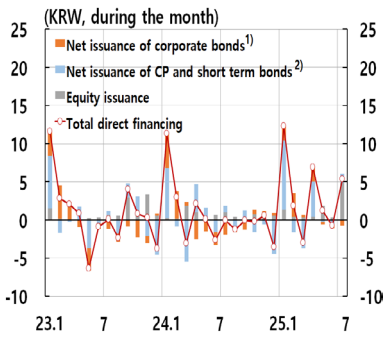
Figure 1.33. Change in banks' corporate loans[1)] to companies



Note: 1) Based on loans at deposit-taking banks.
Source: Bank of Korea.

Corporate direct financing experiences new redemptions of corporate bonds

Figure 1.34. Direct corporate financing



Notes: 1) Including P-CBO.
2) Based on general companies.
Source: Bank of Korea.

[41] ► Seoul apartment transaction volume (1,000 units, based on contract date): 6.2 in Feb 2025 → 9.6 in Mar → 5.0 in Apr → 7.4 in May → 11.0 in June → 4.2^{e} in July
► Nationwide housing transaction volume (10,000 units, based on contract date): 4.8 in Feb 2025 → 6.2 in Mar → 5.2 in Apr → 5.7 in May → 6.6 in June → 4.6^{e} in July

Main Premises of the Baseline Outlook

Global economic growth rate (%): 3.3 in 2024 → 2.8 in 2025 (up 0.1) → 2.7 in 2026 (unchanged)

The **global economic growth** forecasts for 2025 have been revised upward by 0.1 percentage points, while the forecast for 2026 remains unchanged, reflecting the smaller-than-expected impact of tariffs, driven by front-loading demand of corporations and households.

The growth forecasts for **the United States in 2025** have been raised by 0.1 percentage points, reflecting favorable results in the first half of the year. In **the euro area,** the 2025 growth forecast has been revised upward by 0.2 percentage points, while the 2026 projection has been lowered by 0.1 percentage points due to the base effect. This revision is supported by stronger-than-expected front-loading and the conclusion of negotiations with the United States. The growth forecasts for **China** for 2025 and 2026 have been raised by 0.5 percentage points and 0.1 percentage points, respectively, supported by solid consumption and export growth.

Global trade growth (%): 3.8 in 2024 → 2.6 in 2025 (up 0.2) → 2.4 in 2026 (down 0.1)

The global trade growth forecasts for 2025 have been revised upward by 0.2 percentage points, reflecting a stronger-than-expected front-loading effect. However, the 2026 projection has been lowered by 0.1 percentage points due to the base effect.

Global oil prices (Brent crude, USD/barrel): 80 in 2024 → 68 in 2025 (down 1) → 63 in 2026 (down 2)

The global oil price forecasts for 2025 and 2026 have been lowered by USD 1 and USD 2, respectively, reflecting the earlier-than-scheduled recovery of OPEC+ production volumes.

	2024	2025			2026e)		
	Year	H1[1)]	H2e)	Yeare)[2)]	H1	H2	Year[2)]
Baseline assumptions of the outlook							
Global economic growth (%)[3)]	**3.3**	3.2	2.5	**2.8 [+0.1]**	2.6	2.9	**2.7 [-]**
• United States	**2.8**	2.0	1.3	**1.7 [+0.1]**	1.6	2.1	**1.9 [-]**
• Euro area	**0.9**	1.3	1.0	**1.1 [+0.2]**	0.9	1.4	**1.1 [-0.1]**
• China	**5.0**	5.3	4.2	**4.7 [+0.5]**	4.0	4.1	**4.1 [+0.1]**
• Japan	**0.1**	1.5	0.6	**1.0 [+0.1]**	0.0	1.0	**0.5 [+0.1]**
Global trade growth (%)[3)]	**3.8**	3.7	1.5	**2.6 [+0.2]**	1.6	3.2	**2.4 [-0.1]**
Global oil price[4)]	**80**	71	65	**68 [-1]**	62	63	**63 [-2]**

Notes: 1) The figures for the global economy and global are projections.
2) Figures in [ ] indicate change from assumptions as of May 2025.
3) Year-on-year.
4) Based on Brent crude; USD per barrel; period average.
Sources: statistical offices in each area, Bloomberg, Research Department.

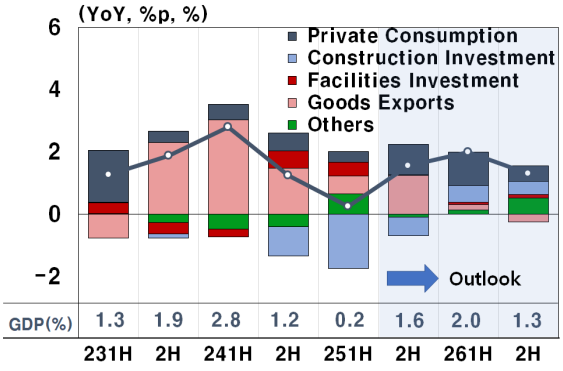
2. Macroeconomic Outlook for Korea

Economic Growth

2.1. Korea's economy is projected to grow by 0.9% in 2025, slightly exceeding the May forecast of 0.8%. This growth is supported by a clear improvement in consumption, driven by the supplementary budget and improved economic sentiment, alongside solid exports, led by the semiconductor industry, despite construction investment being more sluggish than expected. In the second quarter, growth rebounded to 0.6% following a 0.2% contraction in the first quarter, supported by improved consumption on the back of a swift recovery in economic sentiment and favorable exports, despite a larger-than-expected decline in construction investment. In the third quarter, growth is expected to rise by 1.1%, surpassing the previous forecast of 0.7%, driven by the distribution of consumption coupons and robust semiconductor exports. However, growth in the fourth quarter is expected to slow to 0.2%, weighed down by increasing downward pressure on exports of items subject to the U.S. tariffs, particularly in steel and automobiles, as year-end approaches.[42] Next year, annual growth is projected to reach around 1.6%, consistent with the previous forecast, as domestic demand is expected to continue recovering, supported by past interest rate cuts and improvements in real income. but export growth slows due to U.S. tariffs. **The upward revision of 0.1 percentage point for this year's GDP growth rate is attributed to the second supplementary budget (around +0.1 percentage points), solid demand for semiconductors and a smaller-than-anticipated impact from tariffs (+0.2 percentage points), and a rapid improvement in economic sentiment (+0.1 percentage points), despite the deepening slump in the construction industry (-0.3 percentage points).**

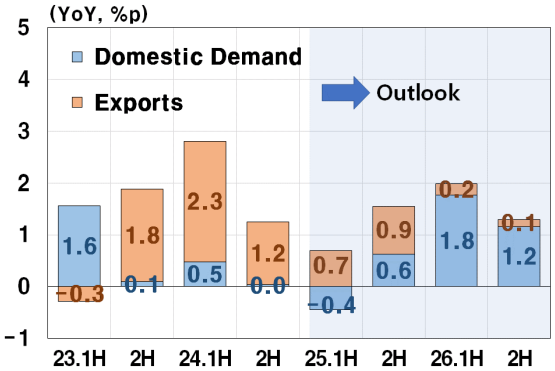
Domestic demand is expected to recover, driven by consumption, while exports are projected to slow toward the year-end

Figure 2.1. Contributions to GDP growth by expenditure



Source: Research Department.

Figure 2.2. Net contributions of domestic demand and exports to growth[1)]



Note: 1) Estimated by excluding impact on imports.
Source: Research Department.

[42] Growth in the second half of 2025 is expected to slightly exceed the previous projection, driven by consumption and exports.

Figure 2.3. Adjustment of growth forecast for 2025 by main driver

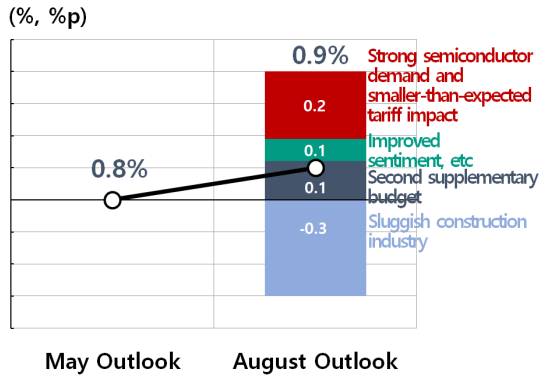
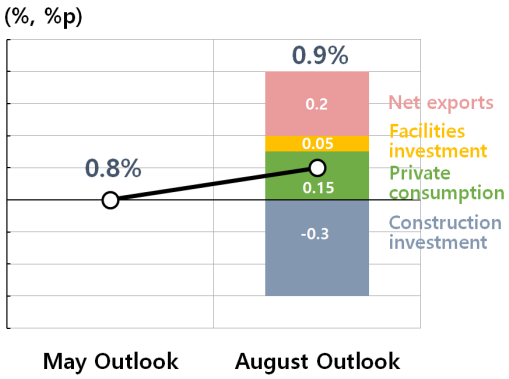


Figure 2.4. Adjustment of growth forecast for 2025 by expenditure

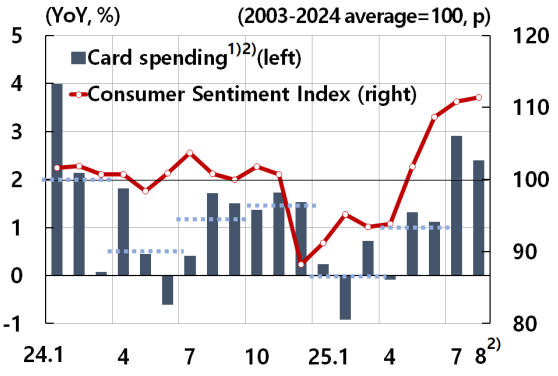


Source: Research Department.

2.2. By sector, private consumption is expected to grow at a faster pace than previously anticipated, supported by improved consumer sentiment and the supplementary budget. After declining in the first quarter, private consumption rebounded in the second quarter, driven by the recovery of face-to-face services such as dining and leisure activities. In the third quarter, high-frequency indicators, including credit card spending, have shown a clear recovery, supported by improved consumer sentiment and the effects of livelihood recovery consumption coupons. As a result, private consumption this year is expected to grow at a faster pace than previously anticipated. Private consumption is projected to maintain its recovery next year, supported by the increases in real income to date and the easing in financial conditions. However, the pace of growth is expected to remain moderate, constrained by structural factors such as population aging and high levels of household debt. Overall, growth in private consumption is estimated at 1.4 percent this year and is projected to edge up to 1.6 percent next year.

Continued improvement in private consumption from Q2

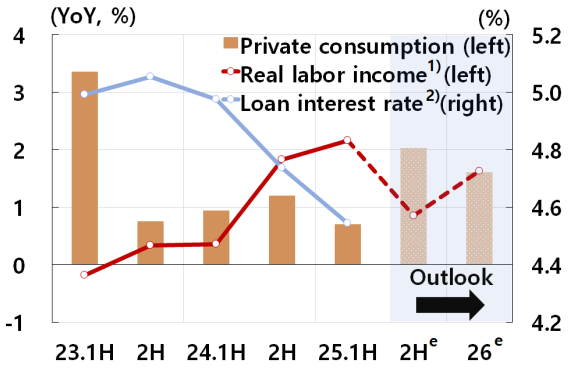
Figure 2.5. Consumer sentiment and card spending



Notes: 1) based on real terms; dotted lines indicate quarterly averages.
2) August 1 to 21.
Source: Bank of Korea.

Improvement in real income and the easing in financial conditions are expected to support the recovery of private consumption

Figure 2.6. Household real labor income and loan interest rate

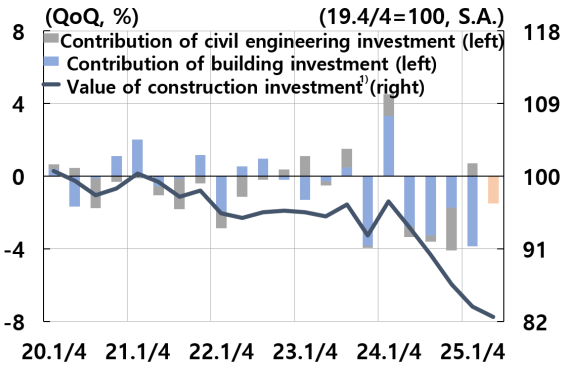


Notes: 1) Estimated as "number of employed persons × average wage per person / consumer price index."
2) Average household loan interest rates of deposit-taking banks, based on balance.
Sources: Bank of Korea, Statistics Korea, Ministry of Employment and Labor.

2.3. Construction investment is projected to decline more sharply this year than previously anticipated, as the downturn has been prolonged. In the second quarter, construction investment fell by more than expected, reflecting the continued wait-and-see stance of construction firms amid heightened domestic uncertainty. In the second half of the year, the pace of contraction is expected to ease somewhat, as the lagged effects of improved construction starts and orders placed last year take hold, supported by major construction projects such as the resumption of semiconductor plants and large-scale civil engineering works including the Seoul-metropolitan railway. However, the recovery momentum is expected to remain weak, as structural downward pressures from accumulated unsold housing units in non-Seoul metropolitan areas persist, while sluggish housing transactions and construction suspensions and disruptions caused by safety-related accidents and heat waves and further constrain improvement. Accordingly, construction investment is forecast to contract by 8.3% this year, before rebounding modestly with growth of 3.8% next year.

Construction investment slump deepens in H1 of the year

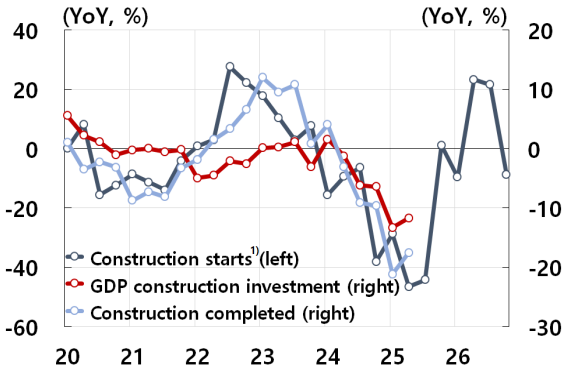
Figure 2.7. GDP construction investment



Note: 1) Based on real GDP, seasonally adjusted.
Source: Bank of Korea.

Sluggishness in construction investment is expected to ease slightly in H2

Figure 2.8. Construction investment, construction completed and starts[1)]

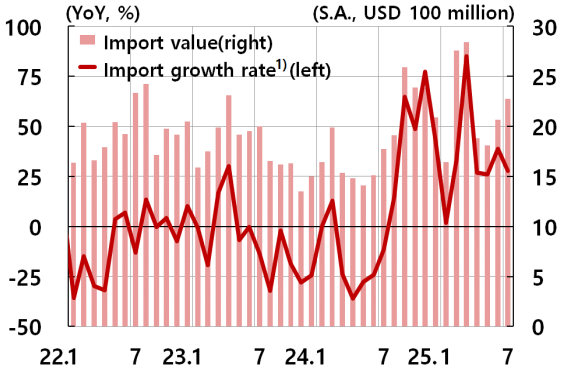


Note: 1) Data before 2024 are based on the previous standard.
Sources: Bank of Korea, Statistics Korea, Ministry of Land, Infrastructure and Transport.

2.4. Facilities investment is projected to remain subdued due to continued sluggishness in the non-IT sector, despite stronger-than-expected investment in semiconductor equipment. In the second quarter, facilities investment rose 4.0% year-on-year but declined quarter-on-quarter for the second consecutive quarter, reflecting an adjustment following last year's surge in semiconductor equipment investment. Machinery investment is projected to remain flat due to ongoing sluggishness in the non-IT sector, despite solid investment in semiconductor equipment. Looking at transportation equipment, corporate vehicles showed strong growth in the first half of 2025, supported by government policy,[43] but their growth is expected to gradually slow starting in the second half. In summary, facilities investment is projected to grow by 2.5% in 2025, led by IT machinery such as semiconductor equipment and transportation equipment such as corporate vehicles, and by 1.0% in 2026. Looking ahead, if enterprises increase their share of investment in the U.S., domestic investment could be dampened, representing a potential downside risk.

Semiconductor equipment imports remain elevated, adjusting from the sharp surge experienced in H2 of last year

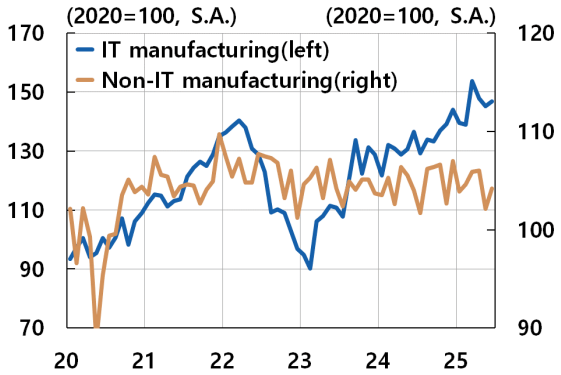
Figure 2.9. Semiconductor equipment imports: value and growth rate



Note: 1) Growth rates are based on original (unadjusted) series.
Source: Korea Customs Service.

Investment incentives in the non-IT sector remain weak amid prolonged business sluggishness

Figure 2.10. Production index by manufacturing industry



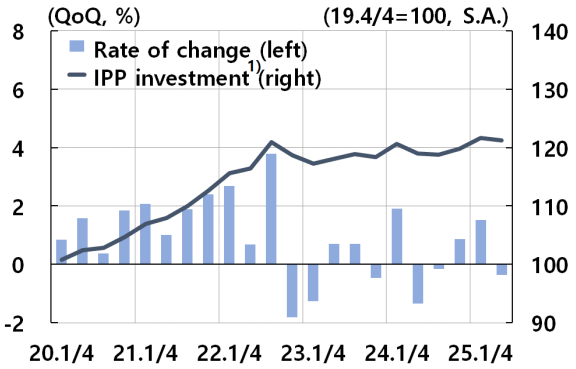
Source: Statistics Korea.

[43] Influenced by government policies supporting the domestic automotive industry, such as encouraging earlier purchases of business vehicles by public institutions (targets: 70% in 1H and 30% in Q3) and individual consumption tax cuts, corporate vehicle purchases increased substantially, rising from 4.5% year-on-year in Q4 2024 to 13.1% in Q1 2025, before moderating to 11.3% in Q2.

2.5. Investment in intellectual property products (IPP) is projected to maintain a favorable growth trend, supported by ongoing initiatives by enterprises to secure technological competitiveness and increased government budget allocations. In the second quarter, IPP investment maintained its upward trend year-on-year, led by the R&D expenditure of enterprises. Looking ahead, corporate R&D investment is expected to expand further, particularly in new growth sectors, with continued government support. Consequently, IPP investment is forecast to grow by 2.9% this year and 2.5% next year. Stronger policy support for strategic industries such as artificial intelligence constitutes an upside risk, while the possibility of weaker corporate earnings amid deteriorating global trade conditions poses a downside risk.

IPP investment continues to recover

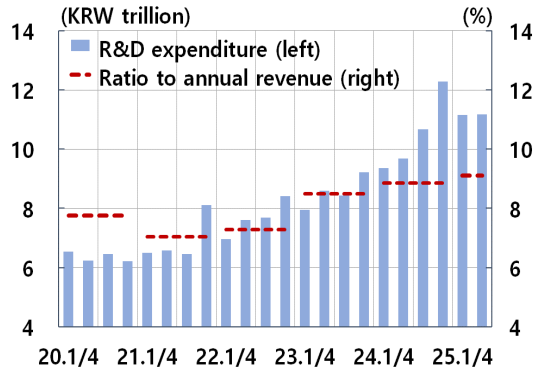
Figure 2.11. GDP IPP investment



Note: 1) Based on real GDP value (seasonally adjusted).
Source: Bank of Korea.

R&D investment by major companies remains robust

Figure 2.12. R&D spending by top six companies[1)]

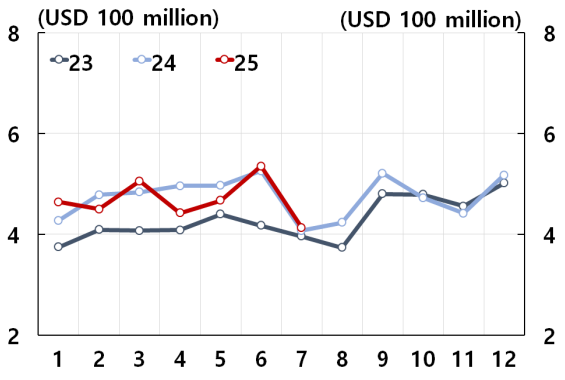


Note: 1) Based on R&D spending; includes Samsung Electronics, SK Hynix, Hyundai Motor Company, LG Electronics, Kia Corporation, and Hyundai Mobis.
Source: DART.

2.6. Goods exports, measured in real GDP terms, are projected to grow significantly faster than previously forecast this year, driven by a surge in semiconductor exports. However, they are expected to decline slightly next year as the expanding impact of U.S. tariffs tempers growth momentum. In the second quarter, goods exports surged quarter-on-quarter, driven by increased AI investment and front-loading demand for semiconductors in anticipation of tariffs.[44] Moreover, companies have mitigated the impact of U.S. tariff hikes through inventory destocking and margin reductions to minimize price pass-through, resulting in a weaker-than-expected negative effect. Consequently, goods exports in the first half of the year exceeded the previous forecast. Looking ahead, goods exports are expected to face growing downward pressure despite robust semiconductor exports supported by solid AI investment, as the impact of U.S. tariffs intensifies.[45] As a result, goods exports are forecast to grow by 2.5% this year but decline slightly by 0.1% next year. **Goods imports, measured on a real GDP basis, are projected to increase by 1.8% this year, supported by a recent recovery in domestic demand, and grow by 1.0% next year amid slowing exports and facilities investment.**

In Q1, the impact of U.S. tariffs was more limited than initially expected

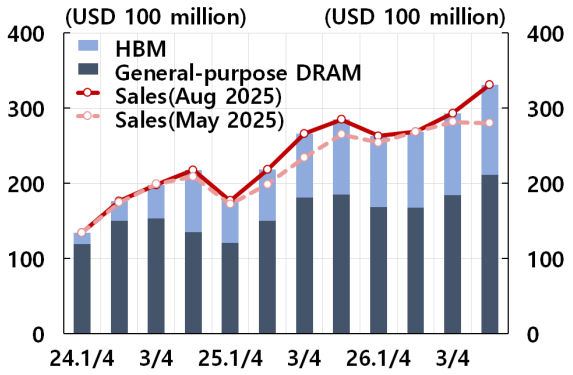
Figure 2.13. Trends of exports to U.S. 1)



Note: 1) Based on daily averages.
Source: Korea Customs Service.

Semiconductors: Continued stronger-than-expected performance driven by expanding AI investment.

Figure 2.14. Sales prospects of domestic semiconductor companies



Sources: Goldman Sachs, Morgan Stanley.

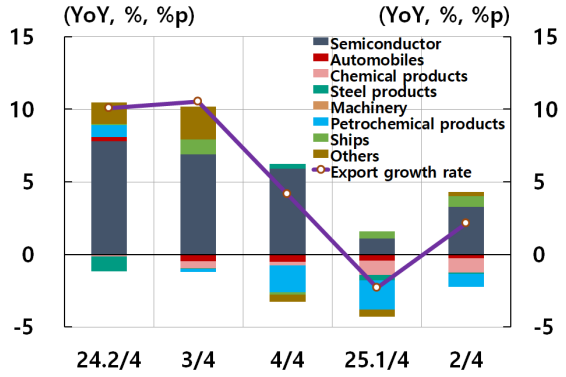
[44] ► Semiconductor exports growth rate (year-on-year, %): 3.3 in Q1 2025 → 23.9 in Q2 → 38.7 in July

[45] Although enterprises can temporarily absorb tariff burdens by adjusting their inventories and profit margins, these measures lead to worsening profitability. As losses accumulate, passing tariffs on to prices becomes inevitable, resulting in reduced demand and a decline in exports. Moreover, if companies raise the operation rate of local production facilities or increase direct investment abroad to evade tariffs, it may weaken the domestic production base, further constraining exports.

2.7. Exports on a customs basis (nominal, year-on-year) are projected to rise well above the May forecast this year, fueled by strong exports of semiconductors and ships despite the implementation of U.S. tariff policies. In the second quarter, exports on a customs basis increased by 2.2% as the boom in semiconductor exports gained momentum and the impact of tariffs was slow to emerge. Export growth remained favorable in July. In the second half, semiconductor exports are expected to remain strong due to continued AI investment demand. Automobile exports are projected to exceed initial expectations, supported by a reduction in item-specific tariffs from 25% to 15% and recent export growth[46] in Europe and Australia. In contrast, steel and machinery exports are expected to face increasing negative impacts due to higher item-specific tariffs and reciprocal tariffs.[47] Next year, exports are forecast to decline due to a slowdown in semiconductor exports as front-loading demand for general-purpose semiconductors dissipates, coupled with continued decreases in chemical and petroleum product exports driven by lower global oil prices and the gradual expansion of U.S. tariff effects. Looking ahead, exports on a customs basis will be influenced by firms' responses to U.S. tariffs—such as expanding their local production in the U.S. and adjusting pricing policies—as well as by developments in the U.S.-China trade agreement. **Imports on a customs basis (nominal, year-on-year) are expected to decline this year, mainly due to lower raw material imports driven by global oil price reductions. However, next year, imports are projected to rise slightly, led by capital goods and consumer goods, as domestic demand continues to improve.**

Exports on a customs basis increased in Q2, led by semiconductors and ships

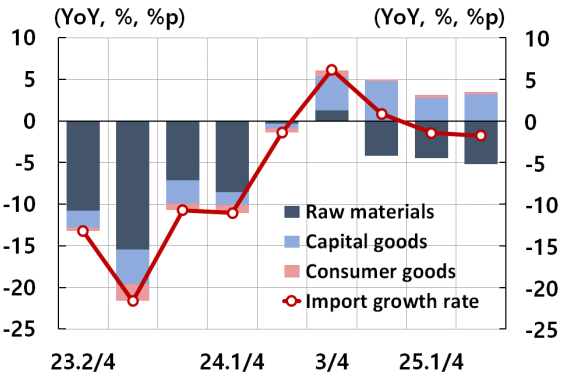
Figure 2.15. Contribution to exports on a customs basis by item



Source: Korea Customs Service.

Imports on a customs basis decreased in Q2, led by raw materials

Figure 2.16. Contribution to imports on a customs basis by item



Source: Korea Customs Service.

[46] With recently strong sales of domestic electric vehicles in Europe, automobile exports to the region have risen significantly. Exports to Australia remain favorable, particularly for newly launched pickup truck models.

[47] Item-specific tariffs on steel and aluminum were raised from 25% to 50% in June 2025, with reciprocal tariffs increasing from 10% to 15% in August following the conclusion of Korea-U.S. tariff negotiations. Additionally, the repeated expansion of the scope of steel and aluminum derivatives has intensified the downward pressure on exports of home appliances, such as washing machines, and machinery.

Economic Growth Outlook[1)]

(YoY, %)

	2024	2025			2026[e)]		
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year
GDP growth rate[1)]	**2.0**	**0.2** <0.1>	**1.6** <1.4>	**0.9** <0.8>	**2.0** <2.0>	**1.3** <1.3>	**1.6** <1.6>
• Private consumption	**1.1**	0.7 <0.8>	2.0 <1.4>	**1.4** <1.1>	2.2 <1.8>	1.1 <1.3>	**1.6** <1.6>
• Construction investment	**-3.3**	-12.4 <-11.3>	-4.3 <-1.1>	**-8.3** <-6.1>	4.4 <4.9>	3.2 <0.9>	**3.8** <2.8>
• Facilities investment	**1.7**	4.8 <4.9>	0.3 <-1.0>	**2.5** <1.8>	0.9 <1.0>	1.2 <0.9>	**1.0** <1.0>
• IPP investment	**1.2**	1.3 <1.4>	4.3 <4.8>	**2.9** <3.2>	3.5 <3.7>	1.6 <1.4>	**2.5** <2.5>
• Goods exports	**6.4**	1.6 <-0.1>	3.3 <0.0>	**2.5** <-0.1>	0.4 <0.6>	-0.7 <0.8>	**-0.1** <0.7>
• Goods imports	**1.3**	1.8 <0.8>	1.7 <-0.3>	**1.8** <0.2>	1.7 <1.8>	0.3 <1.3>	**1.0** <1.5>

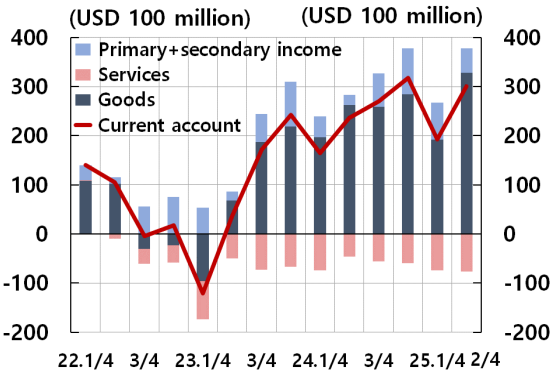
Note: 1) Figures in < > are projections as of May 2025.
Source: Research Department.

Current Account

2.8. The current account is expected to record a significantly larger surplus than previously forecast. In the first half of this year, the current account balance recorded a substantial surplus as exports—led by semiconductors—were much stronger than expected.[48] Going forward, the goods account surplus is projected to exceed the previous forecast, driven by expanded AI-related investment and a decline in oil prices. The primary income account, supported by the rise in the net international investment position,[49] is forecast to record a large surplus, particularly in dividend income. As a result, the current account surplus is projected to reach approximately USD 110 billion in 2025 and USD 85 billion in 2026.

Current account surplus remains substantial, driven mainly by the goods account

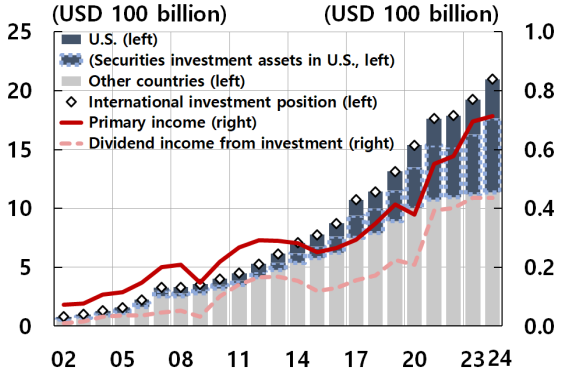
Figure 2.17. Current account balance



Source: Bank of Korea.

Primary income surplus widens with rising overseas stock investments

Figure 2.18. Primary income account balance and international investment position



Source: Bank of Korea.

[48] During the first half of the year, the current account balance reached a substantial surplus of USD 49.37 billion, marking the third highest of any first half period on record. Notably, the surplus in June alone hit USD 14.27 billion, the highest monthly performance ever recorded.

[49] Overseas securities investment by residents has surged, primarily in U.S. stocks, driven by relatively strong growth since 2022.

Current Account Outlook[1)]

(USD 100 million, %)

	2024	2025			2026[e)]		
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year
Current account	**990**	**494**	**607**	**1,100**	**372**	**478**	**850**
		<378>	<441>	<820>	<316>	<405>	<720>
• Goods	**1,001**	520	633	**1,153**	463	471	**935**
		<411>	<434>	<846>	<376>	<415>	<791>
Exports (value)[2)]	**6,836**	3,348	3,526	**6,874**	3,302	3,443	**6,745**
	(8.1)	(-0.0)	(1.1)	(0.5)	(-1.4)	(-2.3)	(-1.9)
Imports (value)[2)]	**6,318**	3,069	3,121	**6,191**	3,059	3,172	**6,230**
	(-1.7)	(-1.6)	(-2.4)	(-2.0)	(-0.3)	(1.6)	(0.6)
• Services	**-237**	-151	-154	**-306**	-171	-171	**-343**
		<-124>	<-133>	<-256>	<-139>	<-137>	<-276>
• Primary and secondary income	**226**	125	128	**253**	80	178	**258**
		<91>	<139>	<230>	<78>	<127>	<205>

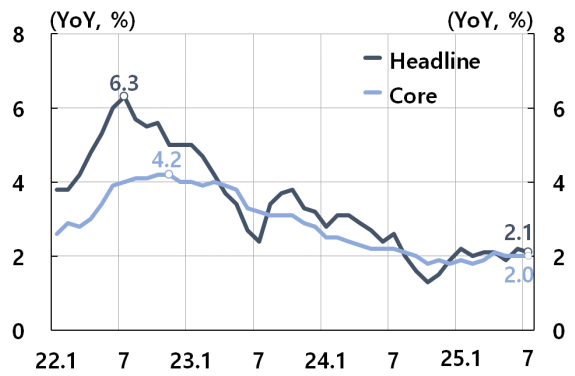
Notes: 1) Figures in < > are projections as of May 2025.
2) Figures in ( ) indicate YoY growth rates.
Source: Research Department.

Prices

2.9. Headline inflation remained in the low-2% range (2.1% year-on-year) in July, influenced by a decline in petroleum product prices despite higher agricultural, livestock, and marine products prices due to adverse weather conditions. Petroleum product prices shifted to a decline due to stable global oil prices and the base effect. However, agricultural, livestock, and marine product prices rose at a higher pace, with the prices of some items climbing due to heavy rain and heatwaves. Core inflation, excluding food and energy, rose by 2%, reflecting a modest increase in services prices despite a decline in goods prices.

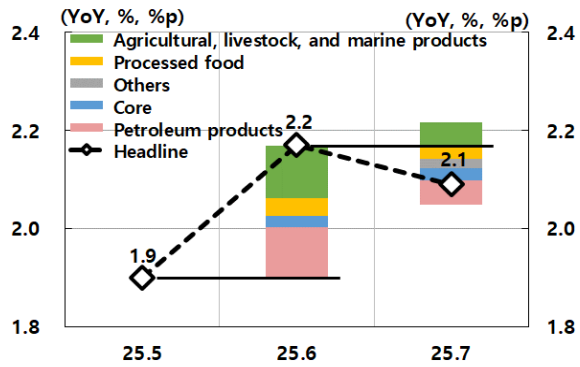
Headline inflation remains in the low-2% range

Figure 2.19. Headline and core inflation



Source: Statistics Korea.

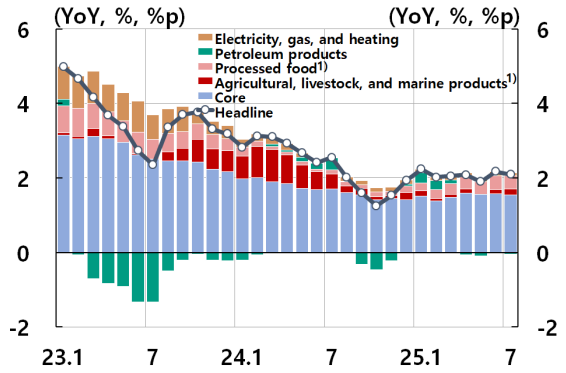
Figure 2.20. Decomposition of differences in monthly increase



Sources: Statistics Korea, Research Department.

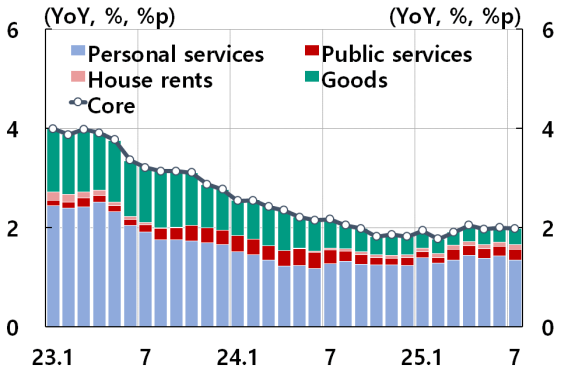
Prices of certain agricultural, livestock, and marine products and services rise, while petroleum product prices turn downward

Figure 2.21. Contributions to headline inflation



Note: 1) Excluding core items.
Sources: Statistics Korea, Research Department.

Figure 2.22. Contributions to core inflation



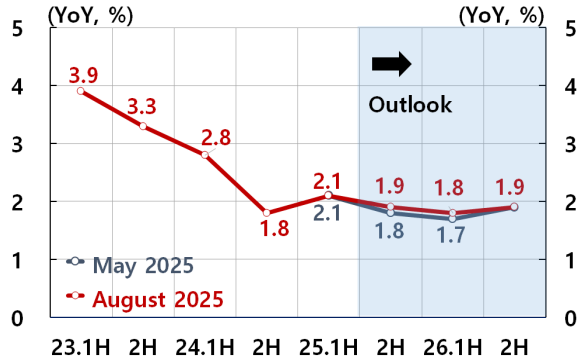
Sources: Statistics Korea, Research Department.

2.10. Household inflation expectations (for the next 12 months) have recently remained in the mid-2% range. Professionals' long-term inflation expectations for the next five years have stayed slightly below 2%.[50]

2.11. Headline inflation is projected to be 2.0%, slightly above the May outlook of 1.9%, driven by rising prices of agricultural, livestock, and marine products. Core inflation is projected to be 1.9%, consistent with the previous outlook. Next year, both consumer price inflation and core inflation are expected to be 1.9%. While agricultural, livestock, and marine product prices are likely to remain elevated due to heavy rains and heatwaves in July, the decline in global oil prices[51] is expected to limit inflationary pressures. Hence, headline inflation is projected to remain around the high-1% range in each quarter of the second half of the year.

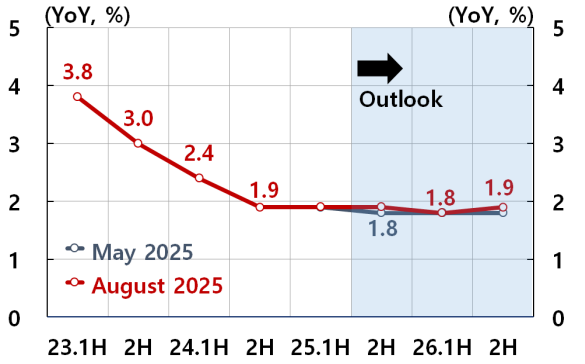
Headline inflation is projected to be in the high-1% level in H2

Figure 2.23. Headline inflation outlook



Sources: Statistics Korea, Research Department.

Figure 2.24. Core inflation outlook



Sources: Statistics Korea, Research Department.

Inflation Outlook[1)]

(YoY, %)

	2024	2025			2026[e)]		
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year
Headline inflation	**2.3**	2.1	1.9	**2.0**	1.8	1.9	**1.9**
		<2.1>	<1.8>	<1.9>	<1.7>	<1.9>	<1.8>
• Core inflation[2)]	**2.2**	1.9	1.9	**1.9**	1.8	1.9	**1.9**
		<1.9>	<1.8>	<1.9>	<1.8>	<1.8>	<1.8>

Notes: 1) Figures in < > are projections as of May 2025.
2) Excluding food and energy.
Source: Research Department.

50

(%)	Sep 2024	Oct	Nov	Dec	Jan 2025	Feb	Mar	Apr	May	Jun	Jul	Aug
BOK households (next 12 months)	2.8	2.8	2.8	2.9	2.8	2.7	2.7	2.8	2.6	2.4	2.5	2.6
Consensus economics professionals (five years ahead)	1.8	1.9	1.9	1.9	1.8	1.8	1.8	1.8	1.8	1.8	1.9	1.9

51

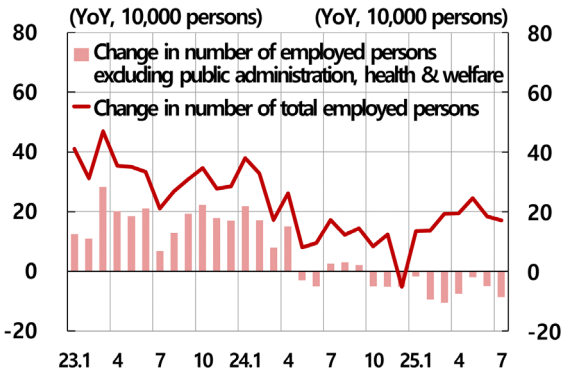
(Average over time)	Jun 2024	Jul	Mar 2025	Apr	May	Jun	Jul	Aug 1-27
► Dubai (USD/barrel)	82.2	83.9	71.7	66.9	63.0	68.5	69.2	67.8
► Gasoline (KRW/liter)	1,657.4	1,707.1	1,688.9	1,646.7	1,636.4	1,642.1	1,667.6	1,666.6

Employment

2.12. Recently, employment has continued to increase mainly in the public sector, while private sector employment remains sluggish. Despite the growth in the number of employed persons having increased by the mid- to high-100,000s since June, employment excluding the public administration and health & welfare sectors has declined steadily. By industry, employment in the construction and manufacturing industries was on a downward trend, while employment in the services industry continued to experience strong growth. By gender and age, job gains were mainly driven by the elderly and women. For youths, seasonally adjusted unemployment rates declined after peaking in March. However, an increase in the number of individuals in their 20s taking a rest from the job market[52] indicates ongoing challenges.

The number of employed persons continues to decline, excluding the public administration and health & welfare sectors

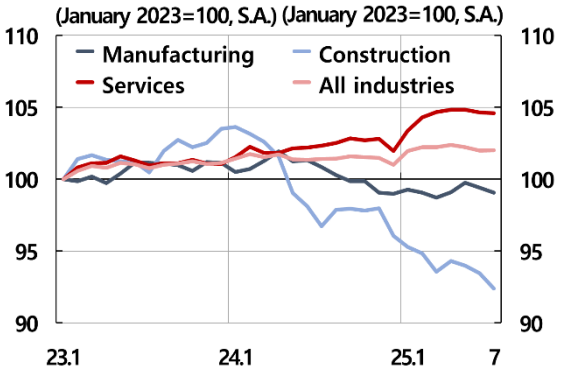
Figure 2.25. Number of employed persons excluding public administration and health & welfare sectors



Source: Statistics Korea.

Employment is rising mostly in the services industry, while construction and manufacturing continue to decline

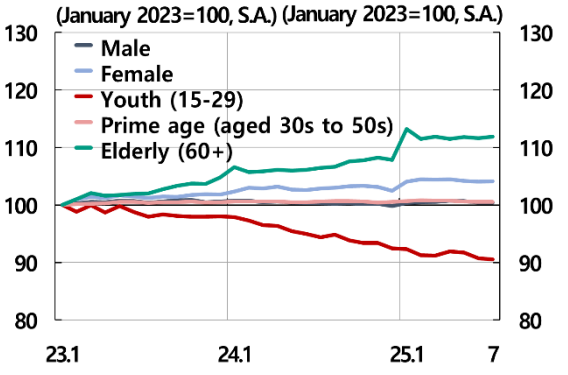
Figure 2.26. Number of employed persons by industry



Source: Statistics Korea.

Employment gains were led by the elderly and women, while youth employment declined

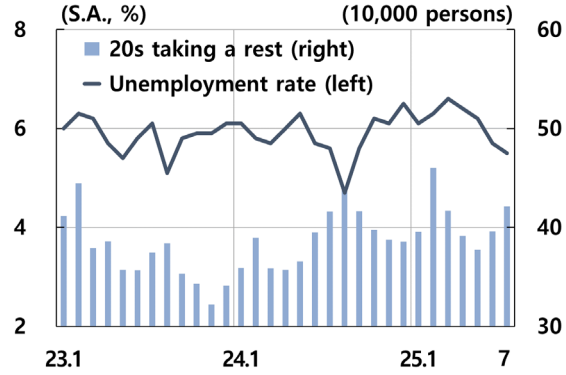
Figure 2.27. Number of employed persons by gender and age



Source: Statistics Korea.

Youth unemployment decreased, but more individuals in their 20s are taking a rest from the job market

Figure 2.28. Youth unemployment rate and those in their 20s taking a rest from the job market



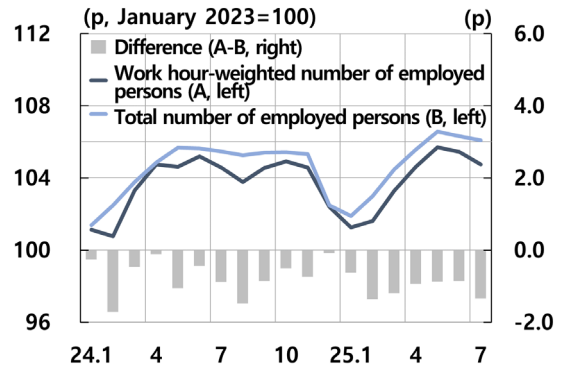
Source: Statistics Korea.

[52] Looking at youths aged 15 to 29 taking a rest from the job market, in the second quarter, the number of those aged 15 to 19 decreased by 18,000 year-on-year, while those in their 20s increased by 16,000.

2.13. The quality of employment is expected to remain weak. Recently, the quality of employment has remained low, as employment growth was driven mainly by part-time and low-wage jobs. The work hour-weighted number of employed persons, which accounts for the impact of part-time jobs on employment growth, is estimated to be significantly lower than the actual number of employed persons (Figure 2.29). Similarly, the wage-weighted number of employed persons, reflecting the effect of low-wage jobs on employment, also falls short of the actual employment figure (Figure 2.30).[53] Looking ahead, employment quality is expected to remain low due to the continued rapid growth of part-time and low-wage jobs. This is because, despite improvements in the services industry, driven by recovering domestic demand, wage levels in wholesale and retail trade as well as food and accommodations remain relatively low. Additionally, self-employed business owners are likely to hire more part-time workers in response to the burden of personnel expenses.

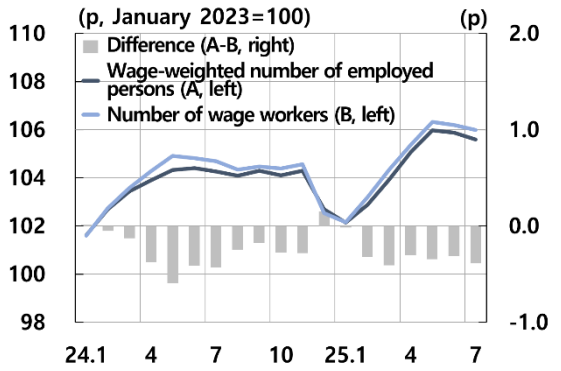
Part-time, low-wage groups lead the increase in employment

Figure 2.29. Work hour-weighted[1] number of employed persons[2]



Notes: 1) Groups are set based on hours worked per week—fewer than 17 hours and 17 hours or longer—using the relative average work hours (0.3:1) as weights.
2) Based on the original series of the total number of employed persons (Jan. 2023 = 100).
Sources: Statistics Korea, authors' calculation.

Figure 2.30. Wage-weighted[1] number of employed persons[2]



Notes: 1) Hourly wages by industry in 2024 were used as weights.
2) Based on the original time series of wage workers (excluding agriculture, forestry and fishing industries and public administration; Jan. 2023 = 100).
Sources: Statistics Korea, Ministry of Employment and Labor, authors' calculation.

[53] The smaller difference between the wage-weighted and actual number of employed persons—compared to the difference for work hour-weighted employment—is due to two factors. First, non-wage workers and the public administration sector are excluded from the wage-weighted measure. Second, recent employment increases in high-wage knowledge-based service industries, such as finance, raise the wage-weighted employment closer to the actual employment figure.

2.14. For 2025, the number of employed persons is projected to increase by 170,000, surpassing the May projection of 120,000. Employment in the construction and manufacturing industries is expected to continue declining due to sluggish construction investment and reduced profits under U.S. tariff policies. However, government employment programs and improved consumer spending are likely to spur stronger growth in the services industry than initially projected. Elderly employment is expected to grow rapidly, while the decline in youth employment is likely to moderate, primarily in the services industry, supported by a recovery of consumption. Next year, the number of employed persons is forecast to increase by 130,000, exceeding the previous projection of 100,000, reflecting the continued recovery of domestic demand. However, the growth in the number of employed persons is expected to be lower than that recorded this year, due to changes in demographic structure. In the future employment projection, government job programs and the pace of domestic demand recovery are major risk factors, while applications for corporate rehabilitation by some firms could be a potential source of concern.

Employment Outlook[1)]

(10,000 persons, %)

	2024	2025			2026[e)]		
	Year	H1	H2[e)]	Year[e)]	H1	H2	Year
Employment change[1)]	**16**	18	16	**17**	12	14	**13**
		<15>	<9>	<12>	<10>	<11>	<10>
Unemployment rate	**2.8**	3.1	2.6	**2.8**	3.1	2.6	**2.9**
		<3.1>	<2.7>	<2.9>	<3.2>	<2.7>	<3.0>
(S.A.)	-	2.8	2.9	**2.8**	2.9	2.9	**2.9**
Employment rate[3)]	**62.7**	62.6	63.1	**62.8**	62.7	63.1	**62.9**
	[69.5]	[69.6]	[70.2]	**[69.9]**	[69.9]	[70.6]	**[70.2]**

Notes: 1) Figures in < > are projections as of May 2025.
2) Year-on-year.
3) Aged 15 or older, numbers in [ ] are for ages 15-64 based on the OECD standard.
Source: Statistics Korea, Research Department.

FYI Current Domestic Labor Market Status: Spider Chart Analysis

- The spider chart provides a comprehensive overview of various labor market indicators at a glance and is widely used by central banks of major economies to efficiently monitor labor market conditions. This section evaluates the domestic labor market in the second quarter using 22 key labor market indicators.

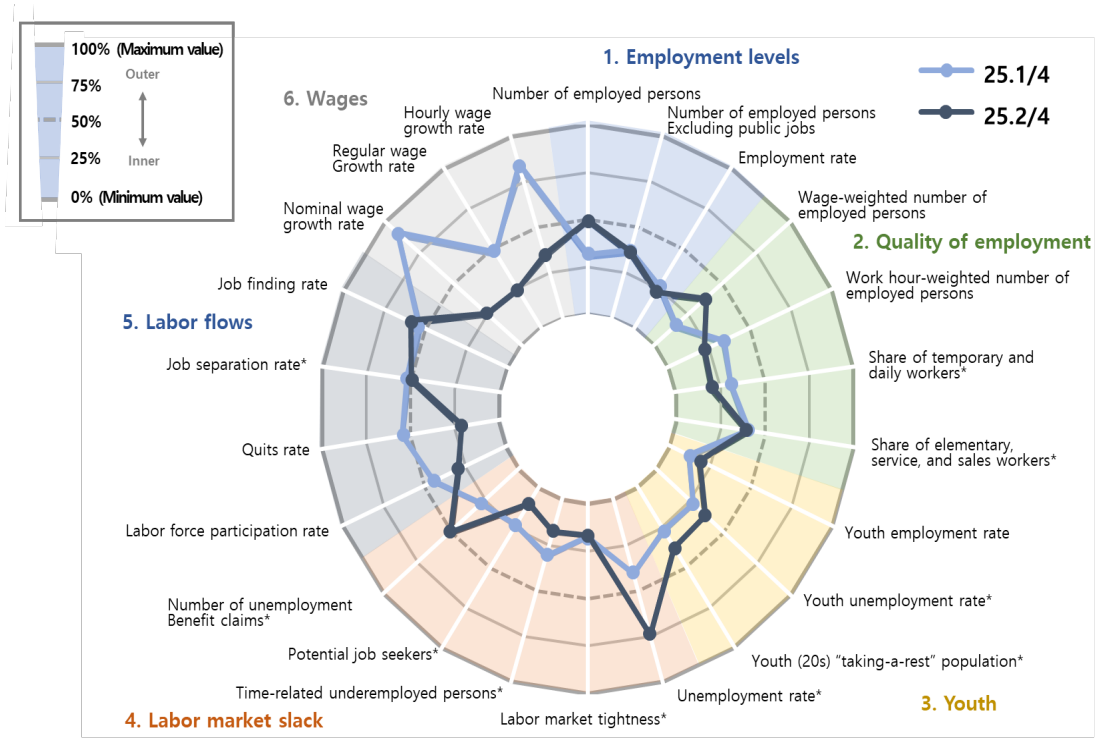
- The position of each indicator on the spider chart represents its percentile rank based on historical data from January 2015 to June 2025. For each indicator, the trend component was removed following seasonal adjustment to isolate short-term fluctuations. The concentric circles on the chart represent percentile values of 0% (minimum), 25%, 50%, 75%, and 100% (maximum), illustrating the relative magnitude of each indicator along its axis. The directions of the indicators are adjusted so that higher values always represent more favorable conditions when extended outward on the spider chart.

Recently, the domestic labor market has been influenced by various factors, such as changes in population and industrial structure, the business cycle, and government policies, that often exert conflicting effects on employment trends. Depending on the relative strength of each factor, labor market indicators may signal different trends or conditions. Using the spider chart, this section analyzes the current state of the domestic labor market and assesses the impact of each key driver.

Changes in demographic structure act as a strong driver, contributing to sustained growth in employment levels while also partially influencing employment quality. Due to population aging, demand for care-related services is rising rapidly, prompting the government to increase public sector employment to address this trend. Notably, in the first half of this year, the government's job supply significantly exceeded the initially planned level, with an increase in jobs related to childcare as well. As the elderly population grows and actively participates in economic activities, they have become a key source of labor supply, filling many of the increased job openings. As a result, employment levels in the second quarter approached the trend level of job growth.

However, the lower work hour- and wage-weighted employment figures compared to the total number of employed persons suggest that a significant portion of recent job growth consists of shorter working hours and relatively lower wages. This situation appears to impose structural constraints on employment quality.

Although changes in industrial structure generate varied effects across industries, they contribute to sluggish youth employment. For example, with the advancement of IT technology, employment in the knowledge-based service industry is showing an upward trend. In contrast, employment in manufacturing is showing a declining trend, driven by industry maturity, technological advancement, and intensified global competition. Since jobs preferred by youth are largely in the manufacturing industry, many young people facing employment difficulties are increasingly giving up or delaying their entry into the labor market. This suggests that although economic recovery may boost youth employment, it is unlikely to produce substantial structural improvements.



Notes: 1) The asterisks (*) represent indicators with reversed direction, multiplied by -1 for consistent interpretation.
2) Wage data for Q1 2025 are based on April and May figures only.
Sources: Statistics Korea, Administry of Employment and Labor, Korea Employment Information Service, authors' calculation.

Apart from these structural factors, the majority of labor market indicators continued to decline, reflecting challenging economic conditions and high levels of uncertainty both domestically and internationally. With sluggish consumption until mid-June and the persistent slump in the construction industry, **labor market slack**—measured by the underutilized labor force—has not diminished. Due to households' deteriorating perception of the economy, both voluntary turnover rates and labor force participation remained subdued.[54] Owing to uncertainty in external conditions, enterprises have been cautious and have not actively increased their employment in line with actual business performance. Uncertainty in labor supply and demand, driven by the spread of AI, and a rigid labor market structure also pose significant challenges to firms' hiring activities. Furthermore, external uncertainty and deteriorating corporate profits likely contributed significantly to the rapid slowdown in wage growth during the second quarter. That is, in the second quarter, while the labor market remained sluggish, as in the previous quarter, the wage growth rate, which had been high in the previous quarter, weakened.

[54] While the spider chart shows improvement in the unemployment rate indicator in the second quarter, it cannot be interpreted as positive since this improvement largely reflects poor labor force participation by households.

As examined above, while the domestic labor market remains overall sluggish due to economic conditions, both demographic changes and government policy efforts are helping offset the stagnation in employment levels. **A similar pattern was observed in the second quarter of 2021, during the pandemic (Figure 3)**. Amid the pandemic, demand for care services expanded, leading to increased employment primarily among the elderly and women. This trend was driven by government measures to boost public services jobs aimed at stabilizing employment for vulnerable groups, as well as the wider adoption of flexible work arrangements. However, the sharp increase in part-time, low-wage jobs has led to a deterioration of employment quality. Amid the economic downturn, households' perception of the economy turned negative, and corporate demand for manpower contracted. While youth employment is heavily influenced by structural factors, it was more sensitive to economic conditions than the employment of other age groups during the pandemic. Hence, the shape of the chart for the second quarter of 2021 closely resembles that of this year's chart.

Going forward, the spider chart is expected to expand further outward. Looking at the spider chart (Figure 4) for the second quarter of 2022, when the labor market was solid, the post-pandemic resumption of economic activities led to a surge in the number of employed persons and improvements in most indicators, driven by economic recovery. Actually, most of the indicators on the spider chart are positioned outward, indicating a favorable state. Looking ahead, although an explosive expansion like that seen in 2022 is unlikely due to the significant influence of structural factors, labor market indicators are expected to improve gradually alongside economic recovery.

Figure 3. Chart for 2nd quarter of 2021

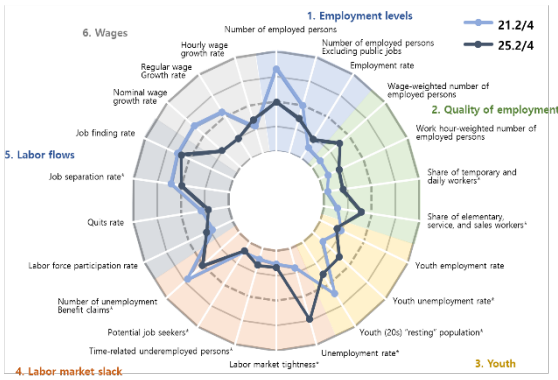
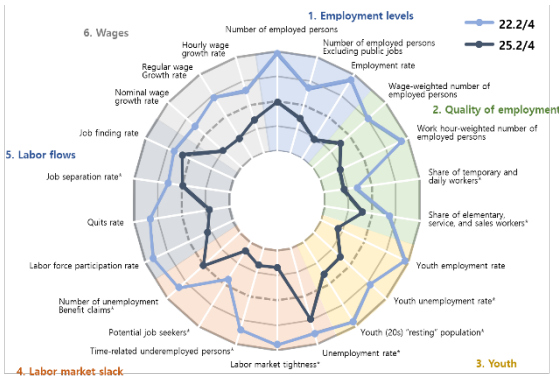


Figure 4. Chart for 2nd quarter of 2022



Sources: Statistics Korea, Ministry of Employment and Labor, Korea Employment Information Service, Author's estimation.

3. Risk Assessment

Key Risks to the Outlook

3.1. Uncertainty in the global trade environment, including U.S.-China tariff negotiations, remains a risk to the growth projection path, while climate conditions and movements in global oil prices pose risks to the inflation outlook.

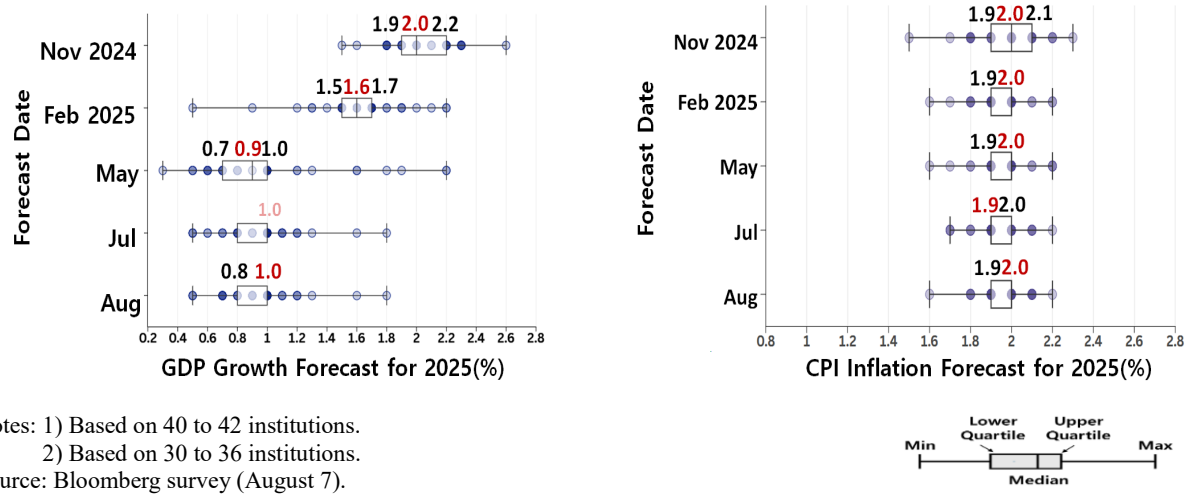
	Upside risks	Downside risks
GDP growth	▪ Further easing of global trade uncertainty	▪ Reignition and escalation of trade conflicts, including a potential breakdown in U.S.-China negotiations
	▪ Improvement in consumer and business sentiment	▪ Prolonged structural and cyclical weakness in the construction sector
	▪ Robust performance in the AI-related semiconductor industries	▪ Heightened uncertainty in international financial markets
CPI inflation	▪ Extreme climate conditions	▪ Expansion of global oil supply
	▪ Stronger recovery in consumption	▪ Stronger government measures to stabilize prices

Distribution of Growth Projections by Market Participants

3.2. Major forecasting institutions revised up their growth projections for 2025 from May, while leaving inflation forecasts unchanged. Median and bottom quartile of GDP growth forecasts by market participants are 1.0% and 0.8%, respectively, compared with 0.9% and 0.7% in May. The median CPI inflation forecast is 2.0%, unchanged from May.

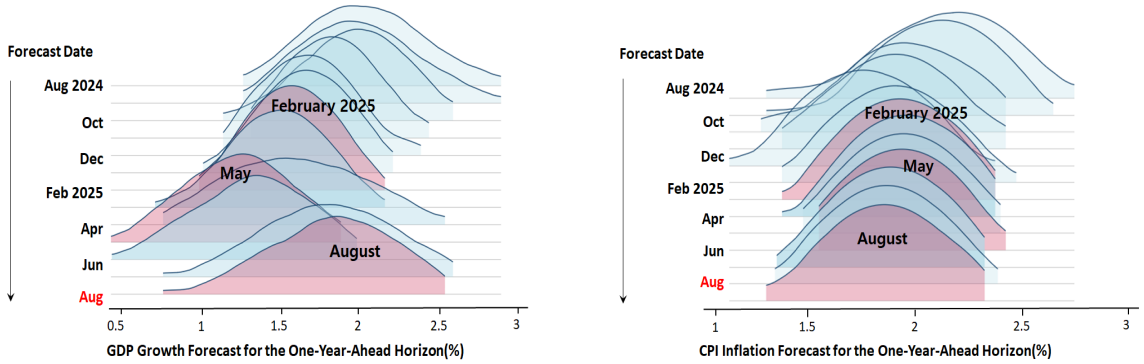
GDP growth forecasts are slightly raised to 1.0% (median), while inflation projections remain unchanged

Figure 3.1. Distribution of GDP Growth1) and CPI Inflation2) for 2025



Notes: 1) Based on 40 to 42 institutions.
2) Based on 30 to 36 institutions.
Source: Bloomberg survey (August 7).

Figure 3.2. Distribution of GDP growth[1] and CPI inflation[2] forecasts for the one-year-ahead horizon[3]



Notes: 1) Based on 18 to 24 institutions.
2) Based on 16 to 21 institutions.
3) Average year-on-year growth rate forecasts over the current and subsequent three quarters.
Source: Bloomberg survey (Data retrieved on August 7).

Scenario Analysis

3.3. Although uncertainty in the global trade environment has eased to some extent following the recent tariff agreements between the United States and multiple countries, ongoing negotiations between the United States and China remain the most significant risk factor for the growth outlook. Accordingly, two alternative scenarios are analyzed.

* Since the tariff path by scenario diverges from the baseline projection starting in the fourth quarter of 2025, the tariff impact for this year is expected to be limited.

The **baseline scenario** assumes that reciprocal and item-specific tariffs are maintained at their current levels with item-specific tariffs for semiconductors and pharmaceuticals set at 15%* next year. Under this scenario, the average tariff rate of the U.S. by the end of 2026 is projected to be 18%, while the U.S. average tariff rate against China is expected to reach 45%. For Korea, it is assumed that the average tariff rate will be set at 16% at the end of 2026 across all scenarios, as tariff negotiations will have been settled.

* This reflects the U.S.-EU tariff negotiations, under which the two sides agreed to set a maximum tariff of 15% on semiconductors and pharmaceuticals, and the announcement that Korea would not be treated any worse than any other country.

- **The optimistic scenario (further easing of trade conflicts)** assumes that U.S.-China trade negotiations will be settled before the tariff grace period expires on November 10 and the fentanyl tariffs would be lifted following progress on negotiations with Canada and Mexico. Under this scenario, the average U.S. tariff rate will decrease until the end of this year but is expected to rise gradually next year with item-specific tariffs on semiconductors and pharmaceuticals being levied, as assumed under the baseline scenario. The average U.S. tariff rate at the end of 2026 is projected to decline to 15% (a 3 percentage points decrease from the baseline scenario), while the tariff rate against China will drop to 25% (a 20 percentage points decrease). Under this scenario, the global growth rate is expected to increase, leading to a **0.1 percentage points rise** in **GDP growth next year** compared to the baseline, with **limited** impact on **CPI inflation.**

▪ **The pessimistic scenario (resurgence of trade conflicts)** assumes that U.S.-China trade tensions intensify and negotiations with other countries break down. After the tariff grace period ends, the U.S. will reinstate reciprocal tariffs on China, prompting China to respond with retaliatory tariffs. In addition, during the USMCA review, conflicts between the United States, Canada, and Mexico are expected to deepen, leading to a substantial narrowing of the scope of tariff exemptions from the second half of next year. The average tariff rate at the end of 2026 is expected to rise to 25% (7 percentage points above the baseline scenario), while the tariff rate against China will increase to 59% (14 percentage points higher). With the decline in the global growth rate, **GDP growth** for **next year** is projected to **decrease by 0.2 percentage points** from the baseline scenario, while CPI inflation is expected to **decline by 0.1 percentage points.**

Table 3.1. U.S. tariff policy scenarios[1)]

	Major contents
Baseline Scenario	‣ Current reciprocal tariffs and item-specific tariffs remain unchanged (with 15% tariffs on semiconductors and pharmaceuticals to be imposed from next year). ‣ **U.S. average tariff rate: 18% (end of 2026)** **U.S. average tariff rate against China: 45% (end of 2026)** **U.S. average tariff rate against Korea: 16% (end of 2026)**
Optimistic Scenario	‣ Tariffs for China, Canada, and Mexico are lowered. ‣ **U.S. average tariff rate: 15% (end of 2026)** **U.S. average tariff rate against China: 25% (end of 2026)**
Pessimistic Scenario	‣ Following a breakdown of U.S. trade negotiations with China, Canada, and Mexico, tariffs rise and affected countries respond with retaliatory tariffs. ‣ **U.S. average tariff rate: 25% (end of 2026)** **U.S. average tariff rate against China: 59% (end of 2026)**

Note: 1) Under both the optimistic and pessimistic scenarios, the **average tariff rate for Korea** is assumed to remain the same as in the baseline scenario.

Table 3.2. Assumptions on global economic growth by scenario

(%, %p)	2024	2025e)	2026e)
Baseline projection	3.3	2.8	2.7
Optimistic scenario		-	+0.2
Pessimistic scenario		-	-0.3

Table 3.3. Growth and inflation outlook by scenario

GDP growth

(%, %p)	2024	2025e)	2026e)
Baseline projection	2.0	0.9	1.6
Optimistic scenario		-	+0.1
Pessimistic scenario		-	-0.2

CPI Inflation

(%, %p)	2024	2025e)	2026e)
Baseline projection	2.3	2.0	1.9
Optimistic scenario		-	-
Pessimistic scenario		-	-0.1

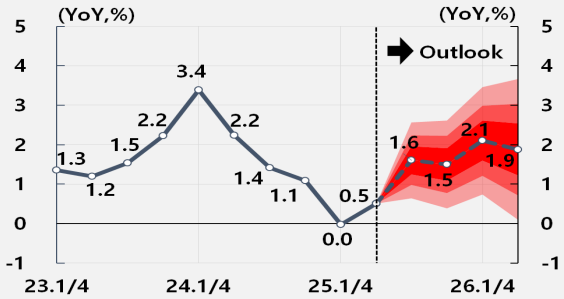
Source: Research Department.

BOX **Quarterly Forecasts for the One-Year-Ahead Horizon**

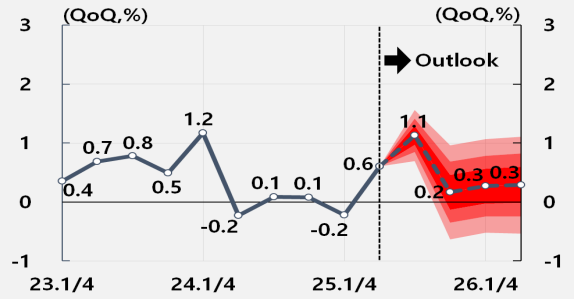
※ Economic outlooks are conditional, and therefore, it would be advisable to place emphasis on how changes in the assumptions on internal/external environments affect the overall projected path.

GDP Growth

Outlook for GDP Growth[1] (YoY)



Outlook for GDP Growth[1] (QoQ)



Notes: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%.

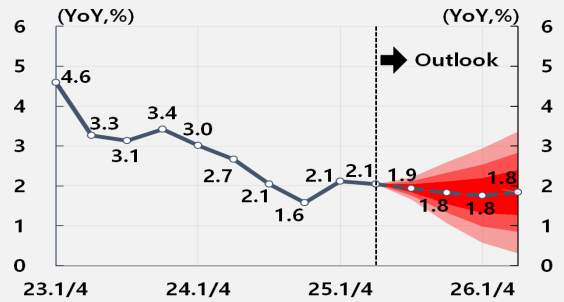
Source: Bank of Korea.

(YoY, %)	2024				2025				2026	
	Q1	Q2	Q3	Q4	Q1	Q2	Q3[e]	Q4[e]	Q1[e]	Q2[e]
GDP Growth	**3.4**	**2.2**	**1.4**	**1.1**	**0.0**	**0.5**	**1.6**	**1.5**	**2.1**	**1.9**
QoQ	1.2	-0.2	0.1	0.1	-0.2	0.6	1.1	0.2	0.3	0.3

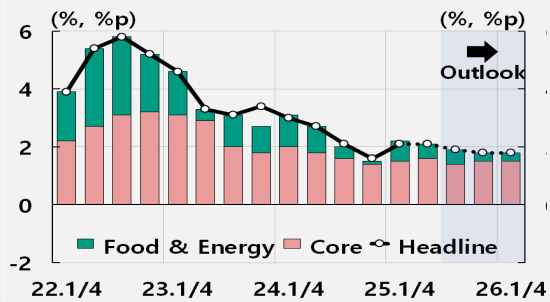
Source: Bank of Korea.

GDP Growth

Outlook for Headline CPI Inflation[1]



Contribution to Headline CPI Inflation



Notes: 1) Uncertainty has been estimated using forecast errors from the past 10 years. Shaded areas, starting from darker to lighter colors, represent 30%, 50%, and 70%.

Source: Bank of Korea, Statistics Korea.

(YoY, %)	2024				2025				2026	
	Q1	Q2	Q3	Q4	Q1	Q2	Q3[e]	Q4[e]	Q1[e]	Q2[e]
Headline CPI Inflation	**3.0**	**2.7**	**2.1**	**1.6**	**2.1**	**2.1**	**1.9**	**1.8**	**1.8**	**1.8**
▪ Core Inflation[1]	2.5	2.2	2.1	1.8	1.9	2.0	1.8	1.9	1.9	1.8

Note: 1) Excluding food and energy

Source: Bank of Korea, Statistics Korea.

Appendix 1. Key Economic Indicators

[World economy]

(QoQ, MOM, %)		2023	2024			2025				
			Year	Q3	Q4	Q1	Q2	May	Jun	Jul
United States	GDP growth[1)]	2.9	2.8	3.1	2.4	-0.5	3.0	-	-	-
	Industrial production[2)]	0.2	-0.3	-0.1	-0.3	1.0	0.4	0.1	0.4	-0.1
	Retail sales	3.4	3.0	1.3	1.8	0.4	0.7	-0.8	0.9	0.5
	Consumer prices [3)]	4.1	2.9	2.6	2.7	2.7	2.4	2.4	2.7	2.7
	Change in non-farm payroll (1,000s)	3,348	2,091	338	509	521	289	19	14	73
Euro area	GDP growth rate	0.6	0.9	0.4	0.3	0.6	0.1	-	-	-
	Industrial production[2)]	-1.7	-3.0	-0.3	0.0	1.9	-0.3	1.1	-1.3	..
	Retail sales	-1.9	1.2	1.1	0.5	0.3	0.7	-0.3	0.3	..
	Exports on a customs[4)]	-0.8	0.5	-0.8	0.4	7.7	-5.9	-0.8	-2.4	..
	Consumer prices[3)]	5.4	2.4	2.2	2.2	2.3	2.0	1.9	2.0	2.0
China	GDP growth[3)]	5.4	5.0	4.6	5.4	5.4	5.2	-	-	-
	Industrial production[2)3)]	4.6	5.8	5.0	5.6	6.5	6.2	5.8	6.8	5.7
	Retail sales[3)]	7.2	3.5	2.7	3.8	4.6	5.4	6.4	4.8	3.7
	Fixed investment[3)5)]	3.0	3.2	3.4	3.2	4.2	2.8	3.7	2.8	1.6
	Exports on a customs[3)]	-4.7	5.8	5.9	9.9	5.6	6.2	4.8	5.8	7.2
	Consumer prices [3)]	0.2	0.2	0.5	0.2	-0.1	0.0	-0.1	0.1	0.0

Notes: 1) Annualized quarter-on-quarter rate. 2) Mining and manufacturing. 3) Year-on-year.
4) Excluding trade within the EU. 5) Cumulative.
Sources: U.S. Federal Reserve, BEA, BLS, Eurostat, National Bureau of Statistics of China, General Administration of Customs of the People's Republic of China, etc.

[Global energy prices]

(Average during the period)	2023	2024			2025					
		Year	Q3	Q4	Q1	Q2	May	Jun	Jul	Aug[3)]
Dubai oil[1)]	82	82	79	74	76	66	63	68	69	68
Brent oil[1)]	82	82	79	74	75	67	64	70	70	67
European natural gas[2)]	41	41	36	43	47	36	35	37	34	33

Notes: 1) USD/barrel. 2) EUR/MWh. 3) Figures in [ ] are averages for August 1 to 27, 2025.
Source: Bloomberg.

[Domestic economy]

(QoQ, MOM, %)		2023	2024			2025				
			Year	Q3	Q4	Q1	Q2	May	Jun	Jul
Growth	GDP growth	1.6	2.0	0.1	0.1	-0.2	0.6	-	-	-
	Retail sales	-1.3	-2.1	0.7	-0.4	0.4	-1.0	-0.1	0.5	..
	(YoY)			(-1.5)	(-2.0)	(-0.3)	(-0.2)	(-0.4)	(0.1)	..
	Facilities investment index	-4.8	2.9	10.2	-1.8	-1.7	0.3	-5.3	-3.7	..
	(YoY)			(11.5)	(5.3)	(5.7)	(5.6)	(6.7)	(2.1)	..
	Construction completed	7.8	-4.7	-3.8	-5.1	-6.4	-3.3	-3.0	6.7	..
	(YoY)			(-9.1)	(-9.7)	(-21.2)	(-17.5)	(-19.8)	(-12.3)	..
	Exports on a customs clearance basis (USD 100 million)	6,322	6,836	1,736	1,751	1,595	1,752	573	598	608
	(YoY)	(-7.5)	(8.1)	(10.5)	(4.2)	(-2.3)	(2.2)	(-1.3)	(4.4)	(5.8)
	Imports on a customs clearance basis (USD 100 million)	6,426	6,318	1,600	1,599	1,526	1,543	503	507	542
	(YoY)	(-12.1)	(-1.7)	(6.2)	(0.9)	(-1.4)	(-1.8)	(-5.3)	(3.3)	(0.7)

Sources: Bank of Korea, Statistics Korea, Korea Customs Service.

(YoY, %)		2023	2024			2025				
			Year	Q3	Q4	Q1	Q2	May	Jun	Jul
Prices	Headline inflation	3.6	2.3	2.1	1.6	2.1	2.1	1.9	2.2	2.1
	Core inflation[1)]	2.2	2.1	1.8	1.9	2.0	2.0	2.0	2.0	2.0
Current account balance	Current account (USD 100 million)	328	990	271	318	193	301	101	143	..
	Goods	377	1,001	259	284	192	328	107	132	..
	Services	-268	-237	-56	-60	-75	-76	-23	-25	..
	Primary and secondary income	220	226	68	94	76	49	18	36	..
Employment	Changes in number of employed persons (10,000 persons)	32.7	15.9	14.6	5.2	15.5	20.7	24.5	18.3	17.1
	Unemployment rate (S.A., %)	2.7	2.8	2.5	3.0	2.8	2.7	2.7	2.6	2.5

Note: 1) Excluding energy and food.
Sources: Bank of Korea, Statistics Korea.

Contributing Teams & Authors by Section

Section		Team	Authors
Planning & Coordinating (in English)		Business Cycle Team	Jieun Lee, Jih Kim
Planning & Coordinating (in Korean)		Macro Forecasting & Research Team	Changhyun Park, Byoungsoo Cho, Bomin Kang, Soojung Chang, Changin Baek
Macroeconomic Conditions and Outlook			
1. Domestic and International Economic Conditions			
▹ Global Economy	Global Economy	Global Economy Analysis Team	Taekmin Lee, San Kang
	Global IT	Business Cycle Team	Hyeona Lee, Jihyun Kim
	U.S.	U.S. & Europe Economies Team	Heewan Jung, Nayoung Lee
	Euro Area		Seungmin Lee
	China	China Economies Team	Junho Lee, Sangheon Rhee, Geonhoo Yoo
	Japan, Emerging economies in Asia	Asia-Pacific Economies Team	Bohee Kim, Seonkyun An
	Global Oil Prices	Global Economy Analysis Team	Joohyeon Kim
▹ Korea's Economy	Fiscal Expenditures	Fiscal & Industrial Research Team	Donghoon Park, Jongwon Yoon
	Real Estate	Inflation Research Team	Dongwoo Ko, Taedong Moon
	Nominal Wage	Labor Market Forecasting & Analysis Team	Youngho Lee, Ganghui Jeong, SangYoon Kweon
	Financial Sector	Financial Markets Department	Shin Choi, Minjung Kim, Dongsan Jang
2. Macroeconomic Outlook for Korea			
▹ Economic Growth	Introduction	Macro Forecasting & Research Team	Youngwoo Choi, Minji Go
	Private Consumption	Business Cycle Team	Hyerim Kim, Hyeona Lee, Junbeen Yang, Jihyun Kim, Insik Cho, Jiwon Kim
	Construction Investment		
	Facilities Investment		
	IPP Investment		
	Trade	International Trade Team	Youngsoon Kwon, Chanil Jin, Chohui Min
▹ Current Account		International Trade Team	Woongji Im, Seonhwa Noh
▹ Prices		Inflation Forecasting & Analysis Team	Seungho Lee, Sanghyo Kim, Seunghyun Wi
▹ Employment		Labor Market Forecasting & Analysis Team	Youngho Lee, Ganghui Jeong, SangYoon Kweon
3. Risk Assessment			
▹ Key Risks to the Outlook		Macro Forecasting & Research Team Inflation Forecasting & Analysis Team	Yushin Bu, Soojung Chang, Seungho Lee, Seunghyun Wi
▹ Distribution of Growth Projections by Major Institutions			
▹ Scenario Analysis			

Korea Economic Outlook

Publisher Changyong Rhee

Editor Jiho Lee

Published by Bank of Korea

39, Namdaemun-ro, Jung-gu, Seoul, 04531, Korea

Published on September 5, 2025

Printed by Jeil Printech Co., Ltd

This material is posted on the website of the Bank of Korea.

http://www.bok.or.kr/eng > News&Publications > Periodicals

Please contact Business Cycle Team within Research Department at the Bank of Korea

(Tel: +82-2-759-4234, Email: econtrend@bok.or.kr) if you have any other inquiries.

Copyright © BANK OF KOREA. All Rights Reserved

ISSN 2983-2373